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Abstract

This paper studies the effects of wealth taxation on efficiency, equity, and welfare in a heterogeneous-agent model with incomplete markets and endogenous occupational and legal-form choice. Entrepreneurs choose between operating as pass-through businesses and C-corporations. While C-corporations face less favorable tax treatment and higher operating costs, they benefit from easier access to external finance. The choice of legal form therefore shapes both the after-tax return to entrepreneurial investment and the severity of financial constraints. Calibrating the model to the U.S. economy, we show that the effects of wealth taxation depend crucially on the endogenous reallocation of entrepreneurs across legal forms. Revenue-neutral reforms that encourage entrepreneurs to switch toward pass-through businesses tighten financial constraints, exacerbate capital misallocation within the entrepreneurial sector, and amplify the efficiency costs of wealth taxation. By contrast, reforms that encourage entrepreneurs to organize as C-corporations relax financial constraints, improve capital allocation, and can more than offset the aggregate distortions induced by the wealth tax. We further show that the distributional and welfare effects crucially depend on the design of the wealth tax itself. While a flat wealth tax does not lower wealth inequality, it generates aggregate welfare gains under all revenue-recycling schemes we consider. By contrast, a progressive wealth tax reduces inequality but may generate aggregate welfare losses because it more strongly discourages entrepreneurial investment.

JEL Classification: E21, E62, H25, H26, H32

Keywords: Wealth tax, Heterogenous agents, Incomplete markets, Occupational choice, Wealth inequality

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Wealth Tax, Entrepreneurship, and the Legal Form of Business Organization*

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August 6, 2026

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This paper studies the effects of wealth taxation on efficiency, equity, and welfare in a heterogeneous-agent model with incomplete markets and endogenous occupational and legal-form choice. Entrepreneurs choose between operating as pass-through businesses and C-corporations. While C-corporations face less favorable tax treatment and higher operating costs, they benefit from easier access to external finance. The choice of legal form therefore shapes both the after-tax return to entrepreneurial investment and the severity of financial constraints. Calibrating the model to the U.S. economy, we show that the effects of wealth taxation depend crucially on the endogenous reallocation of entrepreneurs across legal forms. Revenue-neutral reforms that encourage entrepreneurs to switch toward pass-through businesses tighten financial constraints, exacerbate capital misallocation within the entrepreneurial sector, and amplify the efficiency costs of wealth taxation. By contrast, reforms that encourage entrepreneurs to organize as C-corporations relax financial constraints, improve capital allocation, and can more than offset the aggregate distortions induced by the wealth tax. We further show that the distributional and welfare effects crucially depend on the design of the wealth tax itself. While a flat wealth tax does not lower wealth inequality, it generates aggregate welfare gains under all revenue-recycling schemes we consider. By contrast, a progressive wealth tax reduces inequality but may generate aggregate welfare losses because it more strongly discourages entrepreneurial investment.

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1 Introduction

High wealth inequality, coupled with rising public spending needs, has renewed the debate over the potential introduction of a wealth tax. While such a tax is often advocated on distributional grounds, it may distort saving and investment decisions, thereby influencing aggregate outcomes and the efficiency of capital allocation. These considerations give rise to two central research questions: First, what are the aggregate and distributional effects of a wealth tax, and how large is its potential revenue? Second, how are efficiency, equity, and welfare affected when the additional revenue is used to finance reductions in other forms of taxation?

Addressing these questions requires accounting not only for the effects of a wealth tax on saving and investment, but also for its impact on occupational choice. Entrepreneurs are disproportionately represented at the top of the income and wealth distributions (Smith et al., 2019), making their behavioral responses particularly important. At the same time, they are heterogeneous in both their returns to investment and the financial constraints they face. In such an environment, taxing wealth rather than capital income can improve the allocation of capital by shifting the tax burden away from highly productive but financially constrained entrepreneurs (Guvenen et al., 2023; Boar and Midrigan, 2023; Scheuer, 2020).

This paper argues that the effects of wealth taxation depend critically on the legal form under which entrepreneurs organize their businesses because legal form shapes both after-tax returns on investment and the severity of financial constraints. Specifically, entrepreneurs may operate either as 'pass-through businesses' or as 'C-corporations', each subject to distinct tax treatment. Pass-through businesses are not taxed at the entity level; instead, business income is passed through to the owner, where it is subject to social security contributions and the individual ordinary income tax. By contrast, C-corporations face double taxation: corporate income is taxed at the entity level and again when distributed as dividends. In addition, legal forms differ in their financial constraints. Although C-corporations entail higher operating costs, fewer legal restrictions on raising external capital give C-corporations better access to credit than pass-through businesses (Chen and Qi, 2016; Chen et al., 2018). Against this background, we study how wealth taxation affects entrepreneurial activity, legal-form choice, and the allocation of capital, and how these responses change when the additional revenue is used to reduce existing taxes.

To this end, we conduct a quantitative analysis using a dynamic general equilibrium model with incomplete markets and occupational choice, following Quadrini (2000) and Cagetti and De Nardi (2006). Households are heterogeneous in wealth, labor productivity, and entrepreneurial ability and choose in each period whether to be workers or entrepreneurs. Following Chen et al. (2018), Dyrda and Pugsley (2022a,b), and Di Nola et al. (2025), entrepreneurs select the legal form of their business organization, invest in capital, hire labor, and produce the consumption

good using a decreasing-returns-to-scale technology as in Lucas (1978). Investment is subject to collateral constraints: borrowing limits are proportional to entrepreneurial wealth and depend on the chosen legal form. The government finances public spending and the social security system through social security contributions and taxes on ordinary income, qualified dividend income, and corporate profits. In addition to the entrepreneurial sector, which consists of closely held owner-manager businesses, a competitive non-entrepreneurial sector operates under constant returns to scale, employing capital and labor to produce the consumption good.

We calibrate the model to the U.S. economy, targeting key empirical moments such as the share of entrepreneurs and the share of pass-through businesses. In the U.S., ordinary income such as labor income is taxed under a progressive schedule. Likewise, qualified income, including dividends, is subject to progressive taxation. While most existing studies assume a flat tax on dividends, we extend the nonlinear income tax function of Heathcote et al. (2017) by a qualified income component and estimate the resulting tax schedule using data from the Survey of Consumer Finances (SCF).

We begin by characterizing the benchmark economy without a wealth tax. Occupational and legal-form choices are jointly determined by entrepreneurial ability, wealth, taxes, and financing constraints. While most entrepreneurs operate as pass-through businesses because of their tax advantage, only the most productive choose to operate as C-corporations despite higher operating costs in order to benefit from improved access to external finance.

Historically, wealth taxes in Europe have typically combined exemption thresholds with top marginal tax rates averaging around 1%, although some countries imposed rates as high as 4% (Scheuer and Slemrod, 2021). Countries with relatively low exemption thresholds, such as Switzerland and Luxembourg, have generally applied comparatively low wealth tax rates. Motivated by these examples, we adopt as our benchmark a 0.5% flat wealth tax levied on all wealth, without an exemption threshold.

Introducing a 0.5% flat wealth tax on top of the existing tax system discourages saving, reduces aggregate capital and output, and lowers the share of entrepreneurs. In general equilibrium, the decline in capital raises the interest rate such that higher borrowing costs weaken the financing advantage associated with operating as C-corporations. As a result, more entrepreneurs choose the pass-through form despite its tighter financial constraints, exacerbating capital misallocation within the entrepreneurial sector.

Using the revenue from the 0.5% flat wealth tax to finance a reduction in the corporate tax rate reverses these distortions. Lower corporate taxation increases the attractiveness of the C-corporate form, inducing entrepreneurs to switch from pass-through businesses to C-corporations. As a result, the less restrictive collateral constraint of C-corporations stimulates entrepreneurial

investment, improves capital allocation, and raises aggregate output. Although the reform increases wealth concentration at the top of the distribution, it generates aggregate welfare gains. Recycling the revenue instead through a reduction in the ordinary income tax relaxes the budget constraints of workers and owners of pass-through businesses, thereby mitigating the adverse effect of the wealth tax on saving. At the same time, it strengthens the relative tax advantage of pass-through businesses, inducing entrepreneurs to shift from C-corporations to pass-through businesses despite their tighter collateral constraints. This reallocation exacerbates capital misallocation within the entrepreneurial sector and results in substantially smaller aggregate welfare gains than those achieved by recycling the revenue through lower corporate tax rates.

As a final policy experiment, we recycle the revenue from the flat 0.5% wealth tax by proportionally reducing both ordinary and qualified income taxes. Because both tax levels decline by the same proportion, the relative tax treatment of pass-through businesses and C-corporations remains unchanged, preventing tax-induced legal-form switching. Consequently, the distortions are smaller than under a reform that reduces only the ordinary income tax. In addition, the lower taxation of qualified dividend income benefits all households and partly offsets the adverse effects of the wealth tax. As a result, the reform generates aggregate welfare gains, although they remain smaller than those achieved by recycling the revenue through lower corporate tax rates.

The finding that a flat wealth tax does not reduce wealth inequality is particularly relevant because proponents of wealth taxation often justify such policies on distributional grounds. We therefore also consider a progressive wealth tax with a 2% marginal rate and exemption threshold chosen to generate the same revenue as the benchmark 0.5% flat wealth tax levied on all wealth. Under this calibration, only approximately the top 10% of the wealth distribution is subject to the tax.

While a progressive wealth tax is effective at reducing wealth inequality, it also entails larger efficiency costs. By concentrating the tax burden on wealthy households, it reduces aggregate saving, weakens incentives to organize as C-corporations, and limits entrepreneurial investment. Consequently, aggregate output declines more sharply, and the equity-efficiency tradeoff becomes considerably more pronounced. We further show that a progressive wealth tax levied on the top 10% of the wealth distribution generates aggregate welfare gains only when the additional revenue is used to reduce the corporate tax rate, whereas a 0.5% flat wealth tax generates aggregate welfare gains under all three revenue-recycling schemes.

Finally, we examine the role of differential tax treatment and differential access to external finance across legal forms in shaping our results. Using two recalibrated counterfactual economies, we show that the efficiency gains from revenue-neutral wealth tax reforms are driven primarily by endogenous tax-induced legal-form choice. In particular, the increase in aggregate output

generated by recycling wealth tax revenue through lower corporate taxes vanishes once preferential tax treatment across legal forms is eliminated. These findings highlight the central role of legal-form choice and financial frictions in shaping the aggregate, distributional, and welfare effects of wealth taxation.

Related literature. There is a long-standing debate on how to tax capital. Piketty et al. (2024) discuss several rationales for taxing wealth, while Scheuer and Slemrod (2021) assess recent wealth tax proposals in Europe and the U.S.

Although the macroeconomic literature has extensively studied the taxation of capital income versus labor income, see for example Conesa et al. (2009) and the references therein, wealth taxes have only recently been analyzed in quantitative macroeconomic models. In particular, Guvenen et al. (2023) introduce a tax on the book value of wealth in a quantitative dynamic general equilibrium framework with return heterogeneity.[1] They show that replacing a flat capital income tax by a flat wealth tax reduces tax distortions on productive entrepreneurs and generates efficiency gains through the "use-it-or-lose-it" effect, reallocating capital from low-productivity to high-productivity entrepreneurs. Extending this framework, Guvenen et al. (2024) incorporate endogenous innovation and find that a book value wealth tax stimulates innovation and improves capital allocation. Boar and Midrigan (2023) also emphasize that when entrepreneurs face collateral constraints and earn heterogeneous returns, taxing capital income and wealth are not equivalent. In contrast to Guvenen et al. (2023), however, they find that the efficiency benefits of wealth taxation are dominated by the greater redistributional benefits of taxing the profits of wealthier entrepreneurs. In a model with risky investment, Boar and Knowles (2024) find low positive levels of optimal capital income and wealth taxes. Steinberg and Rotberg (2024) examine the interaction between a wealth tax and offshore tax evasion, concluding that evasion substantially reduces tax revenue. Our contribution to this literature is to study wealth taxation in an environment where entrepreneurs endogenously choose their legal form of organization. This choice jointly determines their after-tax returns to investment and access to external finance, thereby generating endogenous heterogeneity in both returns and financial constraints. We use this framework to examine how wealth taxation affects occupational and legal-form choice, capital allocation, aggregate outcomes, and the distribution of income and wealth.

Our paper also relates to the literature examining the macroeconomic effects of taxing entrepreneurial income (Bhandari and McGrattan, 2021; Di Nola et al., 2021; Bhandari et al., 2024, 2026; Holter et al., 2025; Zeida, 2022). Holter et al. (2025) study the effects of income

[1] Empirical evidence of persistent heterogeneity in individual returns is provided by, among others, Bach et al. (2020), Fagereng et al. (2020), and Smith et al. (2023). Within a dynamic general equilibrium model with occupational choice, Brüggemann and Mahone (2025) show that entrepreneurial borrowing constraints are a key mechanism generating both persistence and dispersion in individual returns.

tax progressivity on entrepreneurship, output, and welfare. A few papers explicitly incorporate entrepreneurial legal-form choice and the role of taxation in shaping this decision. Chen et al. (2018) analyze how corporate income taxation affects employment through entrepreneurs' endogenous choice of legal form, while Qi and Schlagenhauf (2021) use a similar framework to study the effects of the Kansas tax reform exempting pass-through business income from state income taxation. Dyrda and Pugsley (2022a) show that endogenous legal-form choice and differences in financing opportunities across organizational forms are key determinants of optimal business taxation. They show that eliminating the corporate income tax improves capital allocation because it encourages entrepreneurs to switch from pass-through businesses to C-corporations. Dyrda and Pugsley (2022b, 2025) use administrative data and a model of endogenous legal-form choice to show that tax reforms have been a key driver of the rise in pass-through businesses, whereas Demir and Ventura (2026) point to the importance of declining overhead costs for pass-through businesses. Di Nola et al. (2025) examine the taxation of top incomes, recognizing that top earners are likely to be entrepreneurs who can avoid taxes by selecting the legal form of their businesses and by shifting income between different tax bases. We extend this literature by examining how wealth taxation interacts with endogenous legal-form choice and the resulting implications for efficiency, inequality, and welfare.

Finally, recent work has examined alternative ways of taxing capital. Aguiar et al. (2024) study the optimal taxation of realized and unrealized capital gains in a framework with endogenous asset prices, while Azevedo et al. (2025) analyze the effects of accrual-based taxation on entrepreneurial activity. In contrast, we follow Guvenen et al. (2023) by modeling a tax on the book value of wealth, while leaving the interaction between wealth taxation, capital gains taxation, and entrepreneurial decisions for future research.

The rest of the paper is organized as follows. Section 2 describes the model. Section 3 explains the calibration procedure. In Section 4, we present the policy experiments and results. The last section concludes.

2 The Model

2.1 Model Environment

Demographics, preferences, and occupations. Households face a two-stage life cycle: young and old. Young households transition to old age with probability ρ_R. Old households die with probability ρ_D and are replaced by newborn young households. Following Brüggemann (2021), we assume that newborn households inherit the assets of the deceased and draw labor productivity and entrepreneurial ability from their stationary distributions. Consequently, some

low-productivity households inherit substantial wealth, providing a rationale for the potential efficiency gains of wealth taxation.

Households differ in their assets a, their labor productivity ε, and their entrepreneurial ability θ. ε and θ follow a transition matrix $Q(\varepsilon', \theta'|\varepsilon, \theta)$. The invariant distribution of (ε, θ) is denoted as $\overline{Q}(\varepsilon, \theta)$.

At the beginning of each period, young households decide whether to be workers or entrepreneurs. Entrepreneurs can operate either as pass-through businesses EP or as C-corporations EC. The occupation and legal form are denoted by $o \in \{W, EP, EC\}$.

Following Holter et al. (2025), running a business does not generate labor disutility.[2] Preferences are given by

$$U(c, \ell) = \begin{cases} u(c) - v(\ell) & \text{for } o = W, \\ u(c) & \text{for } o \in \{EP, EC\} \text{ and } R, \end{cases} \tag{1}$$

where c denotes consumption and $\ell \geq 0$ refers to working hours.

Technology, costs, and financial constraints. The economy consists of two production sectors: an entrepreneurial sector consisting of entrepreneurial businesses (EP, EC) and a non-entrepreneurial sector.

In the non-entrepreneurial (NE) sector, firms produce in perfect competition with a constant returns to scale technology:

$$F(K^{NE}, N^{NE}) = \left(K^{NE}\right)^{\alpha} \left(N^{NE}\right)^{1-\alpha}, \tag{2}$$

where $0 < \alpha < 1$ is the capital share, and K^{NE} and N^{NE} are capital and labor inputs, respectively.

In the entrepreneurial sector, entrepreneurs are endowed with entrepreneurial ability θ, invest in capital $k \geq 0$, hire labor $n \geq 0$, and produce output according to a decreasing returns to scale technology,

$$f(\theta, k, n) = \theta(k^{\gamma} n^{1-\gamma})^{\nu}, \tag{3}$$

where $\gamma \in (0, 1)$ is the share of capital in the production function and $\nu \in (0, 1)$ is the span-of-control parameter. The operating profit of a pass-through business is given by

$$\pi^{EP} = f(\theta, k, n) - (r + \delta)\, k - wn, \tag{4}$$

where δ is the capital depreciation rate, $r + \delta$ is the user cost of capital, and w is the wage paid per efficiency unit of hired labor.

[2] Alternatively, we could assume that entrepreneurs experience non-pecuniary benefits from running their own businesses.

If the entrepreneur chooses to operate as a C-corporation, she faces operating costs $\kappa > 0$. The operating profit of a C-corporation is given by

$$\pi^{EC} = f(\theta, k, n) - (r + \delta)\, k - wn - \kappa. \tag{5}$$

Given their assets a, households choose their future assets $a' \geq 0$. Entrepreneurs are credit-constrained and can borrow up to a factor λ of their current assets a to invest in capital: $k \leq \lambda a$. Importantly, $\lambda \in \{\lambda^{EP}, \lambda^{EC}\}$ depends on the legal form of business organization. We assume $\lambda^{EP} \leq \lambda^{EC}$ reflecting that C-corporations have better access to external finance because of fewer legal restrictions (Chen and Qi, 2016; Chen et al., 2018; Dyrda and Pugsley, 2022a,b).[3]

Government. The government finances public spending G and pensions B by raising a flat social security tax τ_s, a flat corporate tax τ_c, personal income tax and wealth tax. In the U.S., personal income is subject to a progressive tax schedule and consists of ordinary and qualified income. Qualified income is capital income that receives preferential tax treatment; the marginal tax rate applied to it also increases with total personal income (Burman and Slemrod, 2013). Because the tax liability associated with either income source depends on both the level and composition of total personal income, we specify the personal income tax function as $T(y_\ell, y_d)$, where y_ℓ and y_d denote ordinary income and qualified income, respectively. In line with the U.S. tax schedule, we assume that the marginal tax rates on both ordinary and qualified income increase with the sum $y_\ell + y_d$. In the model, returns on household assets and C-corporation dividends are treated as qualified income, whereas all other income, including pass-through business income, is treated as ordinary income.

Net of social security taxes, workers earn labor income $y_\ell = (1 - \tau_s)\varepsilon w \ell$ and capital income $y_d = ra$. The taxation of entrepreneurial income depends on the legal form of business organization. For a pass-through business, operating profit is passed through to the owner and is subject to social security and ordinary income taxation, so $y_\ell = (1 - \tau_s)\pi^{EP}$, with π^{EP} given by Eq. (4). Entrepreneurs operating C-corporations are subject to double taxation. Operating profits are first taxed at the corporate tax and then taxed again when distributed as dividends to the owner. We define corporate tax liability as $T^c(\pi^{EC}) = \tau_c \max\{\pi^{EC}, 0\}$ with π^{EC} given by Eq. (5).[4] Distributed dividend income is therefore $y_d = \pi^{EC} - T^c(\pi^{EC})$.

In addition to taxing entrepreneurial income, the government levies corporate taxes on the non-entrepreneurial sector. Following Bhandari and McGrattan (2021), we assume that capital in

[3] Pass-through businesses cannot have more than 100 shareholders, cannot have institutional investors, and cannot issue preferred stocks. These constraints limit the ability of pass-through businesses to raise external finance relative to C-corporations.

[4] Corporate taxes are levied only on positive profits. In equilibrium, agents with negative profits do not choose to operate as C-corporations.

this sector is entirely equity financed, implying that only depreciation expenses are deductible for corporate tax purposes. Let

$$\pi^{NE} = F(K^{NE}, N^{NE}) - wN^{NE} - \delta K^{NE}$$

denote taxable profits in the non-entrepreneurial sector. Corporate tax revenue from this sector is $T^c(\pi^{NE})$.

In the policy reforms, the government may also levy a tax on the book value of wealth. For beginning-of-period wealth a, wealth-tax liability is

$$T^a(a) = \tau_a \max\{a - \bar{a}, 0\}, \tag{6}$$

where τ_a is the wealth-tax rate and $\bar{a}$ is the exemption threshold. Setting $\bar{a} = 0$ yields a flat wealth tax.

2.2 Decisions

At the beginning of each period, given assets a and after observing their idiosyncratic labor productivity ε and their entrepreneurial ability θ, young households make their occupational and legal-form choices:

$$\mathcal{V}(a, \varepsilon, \theta) = \max_{o \in \{W, EP, EC\}} V^o(a, \varepsilon, \theta). \tag{7}$$

V^o is the value of the occupation/legal form o.

Worker. A worker chooses consumption c, labor supply ℓ, and savings a'. The worker's value function is defined as:

$$V^W(a, \varepsilon, \theta) = \max_{c, a', \ell} \left\{ u(c) - v(\ell) + \beta(1 - \rho_R) \mathbb{E}_{\varepsilon', \theta' | \varepsilon, \theta} \left[\mathcal{V}(a', \varepsilon', \theta') \right] + \beta \rho_R V^R(a') \right\} \tag{8}$$

subject to

$$c + a' = (1 - \tau_s) w \varepsilon \ell + ra - T((1 - \tau_s) w \varepsilon \ell, ra) + a - T^a(a), \tag{9}$$

$$a' \geq 0. \tag{10}$$

$0 < \beta < 1$ denotes the discount factor. Workers retire with probability ρ_R and $V^R(a')$ refers to the value of retirement. Eq. (9) is the worker's budget constraint, showing that the worker has to pay a flat social security tax on her income. The social security tax is deducted from the income tax base, which is subject to personal income taxation $T((1 - \tau_s) w \varepsilon \ell, ra)$. Eq. (10) states the worker's borrowing constraint.

Pass-through businesses. The value function of entrepreneurs running a pass-through business is given by:

$$V^{EP}(a,\varepsilon,\theta) = \max_{c,a',k,n} \left\{ u(c) + \beta(1-\rho_R)\,\mathbb{E}_{\varepsilon',\theta'|\varepsilon,\theta}\left[\mathcal{V}(a',\varepsilon',\theta')\right] + \beta\rho_R V^R(a') \right\} \tag{11}$$

subject to

$$\pi^{EP} = f(\theta,k,n) - (r+\delta)k - wn, \tag{12}$$

$$c + a' = (1-\tau_s)\pi^{EP} + ra - T\left((1-\tau_s)\pi^{EP}, ra\right) + a - T^a(a), \tag{13}$$

$$k \leq \lambda^{EP} a, \tag{14}$$

$$a' \geq 0. \tag{15}$$

Business profits π^{EP} are passed through to the business owner and are subject to social security taxation. After deducting social security taxes, income is then taxed as ordinary income. Eq. (14) and (15) state the collateral and borrowing constraints of the pass-through business.

C-corporations. Entrepreneurs operating C-corporations solve the following maximization problem:

$$V^{EC}(a,\varepsilon,\theta) = \max_{c,a',k,n} \left\{ u(c) + \beta(1-\rho_R)\,\mathbb{E}_{\varepsilon',\theta'|\varepsilon,\theta}\left[\mathcal{V}(a',\varepsilon',\theta')\right] + \beta\rho_R V^R(a') \right\} \tag{16}$$

subject to

$$\pi^{EC} = f(\theta,k,n) - (r+\delta)k - wn - \kappa, \tag{17}$$

$$c + a' = \pi^{EC} - T^c(\pi^{EC}) + ra - T\left(0, \pi^{EC} - T^c(\pi^{EC}) + ra\right) + a - T^a(a), \tag{18}$$

$$k \leq \lambda^{EC} a, \tag{19}$$

$$a' \geq 0. \tag{20}$$

Note that the operating cost is tax-deductible. Double taxation occurs because π^{EC} is taxed at the corporate tax $T^c(\pi^{EC})$ and then taxed again when distributed as dividends. Eq. (19) highlights that the collateral constraint of C-corporations differs from that of pass-through businesses.

Retirees.

Retirees do not work and receive a fraction b of average labor income of young households $\overline{y}_\ell$ as a pension benefit. They die with probability ρ_D. Their value function is given by:

$$V^R(a) = \max_{c,a'} \left\{ u(c) + \beta(1-\rho_D)\,V^R(a') + \beta\rho_D \mathbb{E}_{\varepsilon',\theta'}\left[\mathcal{V}(a',\varepsilon',\theta')\right] \right\}$$

subject to

$$c + a' = b\overline{y}_\ell + ra - T\left(b\overline{y}_\ell, ra\right) + a - T^a(a),$$
$$a' \geq 0.$$

2.3 Equilibrium

Let $j \in \{Y, R\}$ denote life-cycle status, where Y indicates a young household and R a retired household, and let $x \equiv (a, \varepsilon, \theta, j)$ denote the complete household state. Given τ_s, $T(\cdot,\cdot)$, τ_c, τ_a, $\bar{a}$, b, and G, a stationary equilibrium consists of prices $\{r, w\}$, an invariant distribution $\mu(x)$, and the policy functions

$$\{c(x), a'(x), \ell(x), k(x), n(x), o(x)\},$$

such that:

1. The policy functions $\{c(x), a'(x), \ell(x), k(x), n(x), o(x)\}$ solve the household maximization problem described in Section 2.2.

2. Capital and labor markets clear:

$$K^{NE} + \int \mathcal{I}^E(x)k(x)\, d\mu(x) = \int a\, d\mu(x), \tag{21}$$

$$N^{NE} + \int \mathcal{I}^E(x)n(x)\, d\mu(x) = \int \mathcal{I}^W(x)\varepsilon\ell(x)\, d\mu(x), \tag{22}$$

   where $\mathcal{I}^W(x)$, $\mathcal{I}^{EP}(x)$, and $\mathcal{I}^{EC}(x)$ indicate, respectively, $o(x) = W$, $o(x) = EP$, $o(x) = EC$, and $\mathcal{I}^E(x) = \mathcal{I}^{EP}(x) + \mathcal{I}^{EC}(x)$, for $j = Y$.

3. Under competitive factor pricing, the equilibrium interest rate r and wage w are given by:

$$r = (1 - \tau_c)\left[\alpha\left(\frac{K^{NE}}{N^{NE}}\right)^{\alpha-1} - \delta\right], \qquad w = (1-\alpha)\left(\frac{K^{NE}}{N^{NE}}\right)^{\alpha}. \tag{23}$$

4. The government budget constraint is

$$G + B = R^T + R^c + R^w + R^S, \tag{24}$$

   where G denotes wasteful government spending. Social security tax revenue is

$$R^S = \int \left[\mathcal{I}^W(x)\tau_s w\varepsilon\ell(x) + \mathcal{I}^{EP}(x)\tau_s\pi^{EP}(x)\right]\, d\mu(x).$$

   Personal income tax revenue is

$$R^T = \int \Big[\mathcal{I}^W(x)T\big((1-\tau_s)w\varepsilon\ell(x), ra\big) + \mathcal{I}^{EP}(x)T\big((1-\tau_s)\pi^{EP}(x), ra\big) + \mathcal{I}^{EC}(x)T\big(0, \pi^{EC}(x) - T^c(\pi^{EC}(x)) + ra\big) + \mathcal{I}^R(x)T\big(b\overline{y}_\ell, ra\big)\Big]\, d\mu(x).$$

$\mathcal{I}^R(x)$ indicates $j = R$.

Corporate tax revenue is

$$R^c = \int \mathcal{I}^{EC}(x) T^c\big(\pi^{EC}(x)\big)\, d\mu(x) + T^c(\pi^{NE}).$$

Wealth tax revenue is

$$R^w = \int T^a(a)\, d\mu(x),$$

and pension expenditures are

$$B = \int \mathcal{I}^R(x) b\overline{y}_\ell\, d\mu(x),$$

where b is the replacement rate.

5. The invariant distribution satisfies the fixed-point equation $\mu = \mathcal{H}(\mu)$, where $\mathcal{H}$ is the one-period transition operator such that $\mu' = \mathcal{H}(\mu)$.

3 Benchmark Economy

3.1 Calibration

We calibrate the model without a wealth tax, $\tau_a = 0$, to the U.S. economy in 2013. This year is chosen because it is well approximated by a stationary steady state. In contrast, more recent years are characterized by significant tax reforms, particularly corporate tax cuts, placing the economy in transition and making them less suitable for steady-state analysis.

In our calibration strategy, we replicate important stylized facts such as the share of entrepreneurs, the share of C-corporations, the relative size of C-corporations to pass-through businesses and various inequality measures. The calibrated model will serve as a benchmark for our policy experiments in Section 4.

Table 1 reports the externally calibrated parameters and their sources. We jointly calibrate the remaining parameters to match a set of targeted moments. Although all calibrated parameters generally affect all targets, the discussion below and Table 2 highlight the moments most informative for identifying each parameter. Our main data source is the 2013 Survey of Consumer Finances (SCF). We restrict our sample to households headed by males aged 25 to 64 and define entrepreneurs as active business owners (ABO). We classify sole proprietors, partnerships, and S-corporations as pass-through businesses.

Table 1: Benchmark Economy - Externally Calibrated Parameters

Parameter	**Description**	**Value**	**Source**
Demographics			
ρ_R	Prob. of retiring	0.022	Brüggemann (2021)
ρ_D	Prob. of dying	0.089	Brüggemann (2021)
Labor productivity			
ρ_ε	Persistence	0.940	Kitao (2008)
σ^2_ε	Variance	0.020	Kitao (2008)
Preferences			
σ_1	Risk aversion	1.500	Standard value
σ_2	Inverse of Frisch elasticity	1.700	Frisch elasticity 0.59
Production			
α	Capital share in non-entre. sector	0.330	Standard value
δ	Capital depreciation	0.060	Standard value
ν	Span of control	0.890	Di Nola et al. (2025)
Taxation			
G/Y	Government spending over GDP	0.170	Kindermann and Krueger (2022)
b	Replacement rate, pensions	0.400	OECD (2013)
τ_c	Corporate tax rate	0.350	US Tax code (2013)
τ_s	Social security tax rate	0.153	US Tax code (2013)
$\tilde{\tau}_0$	Income tax, qualified	0.160	SCF - TAXSIM (2013)
τ_1	Income tax, progressivity	0.080	SCF - TAXSIM (2013)

Table 2: Benchmark Economy - Internally Calibrated Parameters

Parameter	**Description**	**Value**	**Target**
Preferences			
β	Discount factor	0.935	Interest rate
χ	Disutility from working	42.009	Average hours worked
Production			
γ	Capital share, entre. sector	0.475	K/Y ratio
Entrepreneurial ability			
μ_θ	Mean	-0.014	Share of entrepreneurs
ρ_θ	Persistence	0.953	Exit rate from entrepreneurship
σ_θ	Dispersion	0.094	Income Gini among entrepreneurs
Financial Frictions			
λ^{EP}	Collateral constraint (Pass-through)	1.514	Wealth share held by entrepreneurs
λ^{EC}	Collateral constraint (C-corp.)	2.189	EP/EC average-business-income ratio
Operating cost			
κ	Operating cost for C-corp.	0.273	Pass-through as share of entrepreneurs
Superstar shock			
ε^*	Value of the shock	10.808	Income Gini
p_{ε^*}	Probability of becoming a superstar	0.530%	Average entrepreneur-to-worker income ratio
$\bar{p}_{\varepsilon^*}$	Probability of dropping back	10.134%	Wealth Gini
Taxation			
τ_{l0}	Income tax, level	0.818	Government budget balance given G/Y and pension expenditures

Demographics, endowments, and preferences. Labor productivity ε is defined by an AR(1)-process:

$$\log(\varepsilon_{t+1}) = \rho_\varepsilon \log(\varepsilon_t) + \eta_{\varepsilon,t+1},$$

where $\eta_{\varepsilon,t+1} \sim N(0, \sigma_\varepsilon^2)$ is an i.i.d. innovation term. Following Kitao (2008) we set the persistence parameter $\rho_\varepsilon = 0.94$ and the variance of the innovation $\sigma_\varepsilon^2 = 0.02$. The probabilities of retiring and dying in retirement are set to $\rho_R = 0.022$ and $\rho_D = 0.089$, respectively, following Brüggemann (2021).

The entrepreneurial ability θ is modeled as an AR(1)-process:

$$\log(\theta_{t+1}) = \mu_\theta + \rho_\theta \log(\theta_t) + \nu_{\theta,t+1},$$

where $\nu_{\theta,t+1} \sim N(0, \sigma_\theta^2)$ is the innovation term. μ_θ determines the average entrepreneurial ability and is calibrated to match the share of entrepreneurs in the data. The persistence parameter ρ_θ is chosen to replicate the observed exit rate from entrepreneurship. Finally, the dispersion parameter σ_θ is calibrated to match the Gini coefficient of entrepreneurial income.

To reproduce the empirical average entrepreneur-to-worker income ratio, we incorporate superstar shocks to labor productivity as in Brüggemann (2021) and Kindermann and Krueger (2022). Without these shocks, the model would generate entrepreneurial income that is substantially higher than worker income on average while understating income inequality among workers. We discretize labor productivity ε using N_ε grid points. The first $N_\varepsilon - 1$ points represent "normal" productivity states. Conditional on remaining within this set, transitions among these states follow a finite-state approximation to the AR(1) process described above. The final point represents the superstar productivity level ε^*. From any normal state, a household enters the superstar state with probability p_{ε^*}. A household in the superstar state exits with probability $\bar{p}_{\varepsilon^*}$ and otherwise remains there. Conditional on exit, the household moves to a normal state according to the stationary distribution of the approximated AR(1) process.

We calibrate the three parameters of the superstar process as follows. The superstar productivity level ε^* governs the magnitude of extreme labor-productivity realizations and therefore the upper tail of the income distribution. We choose it to match the income Gini coefficient. The entry probability p_{ε^*} determines how frequently high-income workers appear, thereby affecting average worker income relative to average entrepreneurial income. We choose it to match the average entrepreneur-to-worker income ratio. Finally, the exit probability $\bar{p}_{\varepsilon^*}$ governs the duration of superstar spells and thus the time available for superstar workers to accumulate wealth. We choose it to match the wealth Gini coefficient.

Preferences are assumed to be:

$$\begin{aligned} u(c) &= \frac{c^{1-\sigma_1}}{1-\sigma_1}, \\ v(\ell) &= \chi \frac{\ell^{1+\sigma_2}}{1+\sigma_2}. \end{aligned}$$

The coefficient of relative risk aversion σ_1 is set to 1.5. The parameter σ_2 is set to 1.7, implying a Frisch elasticity of 0.59. The disutility of labor χ is calibrated to replicate the empirically observed average hours worked. The discount factor β is pinned down by the interest rate in the economy.

Technology, costs, and financial constraints. In the non-entrepreneurial sector, the capital share α in the production function Eq. (2) is set to the standard value of 0.33. Capital depreciates at an annual rate δ of 6%.

The capital share γ in the entrepreneurial sector replicates the capital-to-output (K/Y) ratio. The span of control parameter ν is set to 0.89, following Di Nola et al. (2025). The operating cost of C-corporations κ is calibrated to match the share of C-corporations among entrepreneurs. The collateral constraints capture regulatory restrictions that limit firms' access to external finance. Since only a few studies allow collateral constraints to differ across legal forms, and there are no direct empirical counterparts to λ^{EP} and λ^{EC}, we calibrate these parameters internally. Specifically, we choose λ^{EP} and λ^{EC} to match the entrepreneurial share of aggregate wealth and the ratio of average business income of pass-through businesses to that of C-corporations. Intuitively, tighter collateral constraints induce entrepreneurs to accumulate more wealth. In addition, λ^{EP} and λ^{EC} determine the size of pass-through businesses relative to C-corporations: a lower value of λ^{EP} implies that pass-through businesses are, on average, smaller. This identification strategy is similar to that of Chen et al. (2018), who use the employment share of C-corporations to calibrate differences in access to external finance. Our approach yields $\lambda^{EP} = 1.514$, which is consistent with estimates reported by Kitao (2008) and Brüggemann (2021). For C-corporations, we obtain $\lambda^{EC} = 2.189$, implying substantially better access to external finance, in line with Chen et al. (2018).[5]

Tax schedule. In 2013, the personal income tax was characterized by the tax brackets and marginal tax rates summarized in Table 3.

[5] Chen et al. (2018) assume that firms receive an external financing offer with an exogenous probability, allowing them to raise as much capital as needed. Their calibration implies that C-corporations are 1.5 times more likely to obtain external financing than pass-through businesses.

Table 3: Personal Income Marginal Tax Rates in %; U.S. Federal Income Tax 2013

Taxable Income in $	Ordinary Income Tax	Qualified Income Tax
$0 - 17,850$	10	0
$17,851 - 72,500$	15	0
$72,501 - 146,400$	25	15
$146,401 - 223,050$	28	15
$223,051 - 398,350$	33	15
$398,351 - 450,000$	35	15
$\geq 450,001$	39.6	20

Notes: The reported rates apply to married couples filing jointly and exclude the Net Investment Income Tax.

We approximate the personal income tax by an HSV-like (Heathcote et al., 2017) tax function modified to account for the preferential tax treatment of qualified income:

$$T(y_\ell, y_d) = (y_\ell + y_d) - \Big((1-s)\tau_{l0} + s\tau_{d0}\Big)(y_\ell + y_d)^{1-\tau_1},$$

where $s = \dfrac{y_d}{y_\ell + y_d}$. The tax function can be rewritten in terms of the total taxable income $y = y_\ell + y_d$ and the share of qualified income s:

$$\tilde{T}(y, s) = y - \tau_{l0}\Big(1 + s\tilde{\tau}_0\Big)y^{1-\tau_1}, \tag{25}$$

where $\tilde{\tau}_0 \equiv \dfrac{\tau_{d0} - \tau_{l0}}{\tau_{l0}}$. We calibrate τ_{l0} internally to match government spending over GDP (G/Y) keeping the government budget constraint balanced. We estimate $\tilde{\tau}_0$ and τ_1 from the data. Defining net income as $y_{net} \equiv y - \tilde{T}(y, s)$, we can rewrite Eq. (25) as

$$y_{net} = \tau_{l0}\Big(1 + s\tilde{\tau}_0\Big)y^{1-\tau_1}.$$

This expression yields the following nonlinear regression:

$$\ln y_{net,i} = \beta_0 + \ln\Big(1 + \beta_1 s_i\Big) + \beta_2 \ln y_i + \epsilon_i.$$

We measure net income y_{net} by total federal taxable income net of total federal income tax from SCF-TAXSIM. We do not directly observe the share of qualified income in the data. To be consistent with the model, we consider capital income, including interest and dividends, as qualified. The share s is computed as the ratio between qualified income and total taxable income. β_1 is the estimated value of $\tilde{\tau}_0$ and β_2 refers to $1 - \tau_1$.

Figures 1a and 1b compare the observed tax schedule with the fitted approximation separately for households with no qualified income share, $s = 0$, and households with a substantial qualified income share, $s > 0.1$. Within each group, households are sorted by gross income and divided into 20 gross-income bins. The data points report weighted within-bin averages of gross income, net income, and average tax rates. The fitted values are computed at the same within-bin average gross income and within-bin average s, using the estimated tax function approximation.

The approximation fits the binned data well overall. Households with higher s face lower average tax rates, consistent with the preferential treatment of qualified income. The fitted lines are not perfectly smooth because the fitted value also depends on the within-bin average of s, not only on gross income. As Figure 1c shows, the within-bin average s varies irregularly across gross-income bins, which produces corresponding small irregularities in the fitted lines.

The corporate tax rate τ_c is set to the statutory level in 2013 of 35%. Finally, the social security tax is set to 15.3% in line with the U.S. tax code. The pension benefit replacement rate b equals 40%, which is the average replacement rate in the U.S. in 2013 (OECD, 2013).

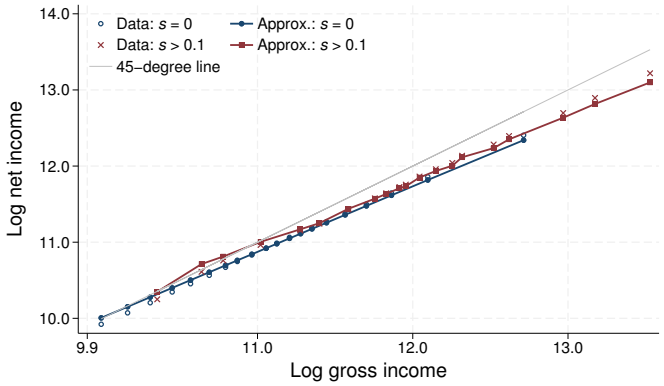
3.2 Mechanisms and Model Fit

To illustrate the model's mechanisms, we begin by analyzing the policy functions of the benchmark economy. Figure 2 displays the occupational and legal-form choice of an agent as a function of wealth a and entrepreneurial ability θ. Households with low entrepreneurial ability choose to become workers, whereas those with higher ability become entrepreneurs only if they possess sufficient wealth, since investment is constrained by collateral requirements. Among entrepreneurs, most choose the pass-through form to avoid double taxation and operating costs associated with C-corporations, despite facing tighter financing constraints (Figure 3). Only households with very high entrepreneurial ability choose to run C-corporations to benefit from improved access to external finance. Consequently, pass-through businesses account for the majority of entrepreneurial firms in the stationary equilibrium, consistent with the U.S. data.

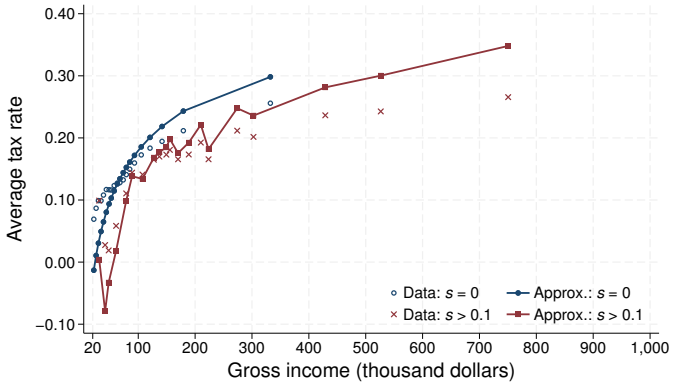
To assess the validity of the model, we evaluate its ability to match both targeted and untargeted moments. Table 4 shows that the targeted moments are overall well replicated. In particular, key statistics of the entrepreneurial sector are matched, including the share of entrepreneurs, the share of C-corporations among entrepreneurs, the exit rate from entrepreneurship, and the average business income of pass-through businesses relative to C-corporations.

As Table 5 shows, the model also performs well along several untargeted dimensions, including the share of output produced by pass-through businesses, the share of employment in the entrepreneurial sector, the transition rate from pass-through businesses to C-corporations, and total tax revenue relative to GDP. Importantly, the model provides a good match of the share of

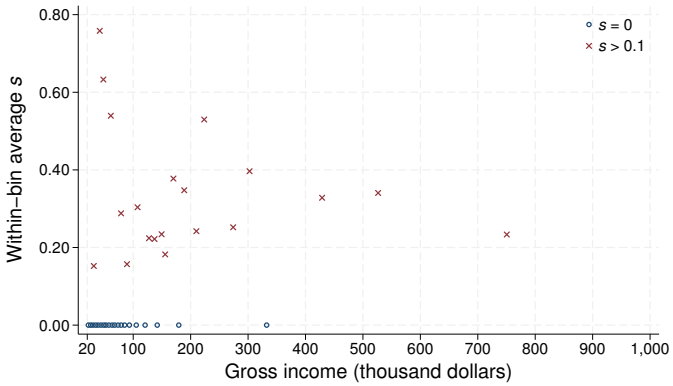
Figure 1: Personal Income Tax Function Fit



(a) Net income and fitted tax function



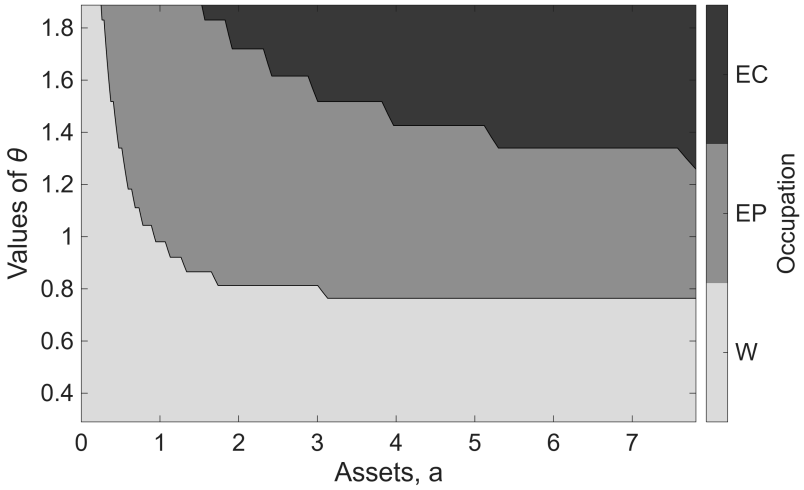
(b) Average tax rates and fitted tax function



(c) Average qualified-income share within gross-income bins

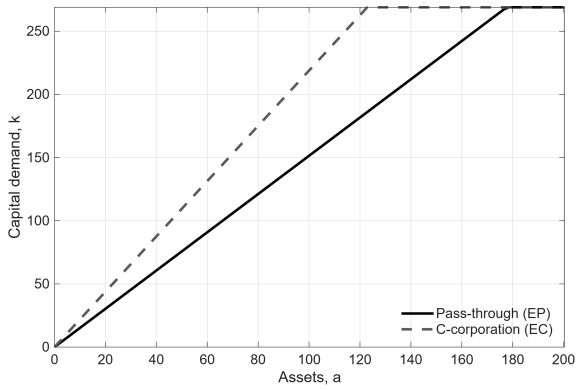
Notes: Data are from the SCF and TAXSIM 2013. "Approx." denotes fitted values from the estimated tax-function approximation, and s is the share of taxable income receiving preferential tax treatment. See Section 3.1 for details.

Figure 2: Occupational and Legal Form Choice



Notes: The figure displays the occupational and legal-form choice W, EP, EC given assets a and entrepreneurial ability θ. Labor productivity ε is set at its median value.

Figure 3: Policy Function: Entrepreneurial Capital



Notes: The figure displays entrepreneurial capital demand, conditional on operating a pass-through business or a C-corporation. Entrepreneurial ability θ is set at its median value.

Table 4: Benchmark Economy - Targeted Moments

	Data	**Model**	**Data Source**
Aggregates			
Interest rate (%)	1.90	2.15	World Bank
Average hours worked	0.33	0.30	SCF (2013)
K/Y ratio	3.33	3.17	FRED (2013)
Entrepreneurial sector			
Share of entrepreneurs (%)	15.16	15.18	SCF (2013)
C-corp. as share of entre. (%)	9.01	9.88	SCF (2013)
Exit rate from entrepreneurship (%)	9.18	10.30	BDS (2013)
EP/EC average-business-income ratio	0.20	0.16	Dyrda and Pugsley (2022b)
Inequality			
Gini income	0.54	0.51	SCF (2013)
Gini income, entrepreneurs	0.62	0.59	SCF (2013)
Average income ratio: entre. to worker	2.60	2.40	SCF (2013)
Wealth Gini	0.84	0.83	SCF (2013)
Wealth share held by entrepreneurs (%)	53.55	48.65	SCF (2013)

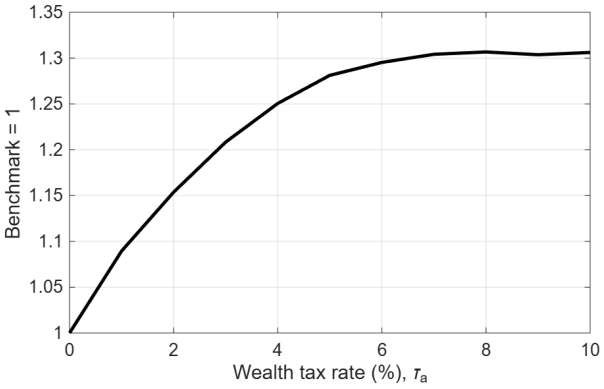
Notes: Model moments are computed using the benchmark calibration. The empirical counterpart for the ratio of average business income of pass-through businesses to that of C-corporations is from Dyrda and Pugsley (2022b). The interest rate is from the World Bank, the capital-to-output ratio is from FRED, Federal Reserve Bank of St. Louis, and the entrepreneurial exit rate is computed using the Business Dynamics Statistics. All remaining empirical moments are from the Survey of Consumer Finances.

Table 5: Benchmark Economy - Untargeted Moments

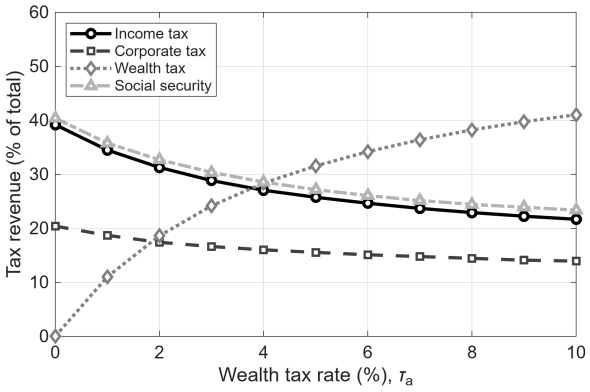
	Data	**Model**	**Data source**
Entrepreneurial sector			
Share of employment in entre. sector (%)	71.40	65.51	Davis et al. (2007)
Pass-through output in % agg. output	39.55	39.26	IRS (2013)
Transition rate EP to EC (%)	2.70	2.11	Bhandari & McGrattan (2021)
Share of entre. in top 10% income (%)	37.71	45.46	SCF (2013)
Share of entre. in top 10% wealth (%)	46.88	54.70	SCF (2013)
Income shares (%)			
Top 10%	44.89	48.53	SCF (2013)
Top 20%	58.71	59.71	SCF (2013)
Bottom 40%	11.08	14.92	SCF (2013)
Wealth shares (%)			
Top 10%	73.60	68.35	SCF (2013)
Top 20%	86.20	88.36	SCF (2013)
Bottom 40%	0.10	0.04	SCF (2013)
Tax revenue			
Total tax revenue to GDP (%)	24.07	23.45	OECD (2013)
Income tax in % of total revenue	47.44	39.19	CBO (2013)
Social security tax in % of total revenue	42.68	40.41	CBO (2013)
Corporate tax in % of total revenue	9.88	20.40	CBO (2013)

Notes: Model moments are computed using the benchmark calibration. The entrepreneurial sector's share of employment is from Davis et al. (2007), while the pass-through share of aggregate output is computed using aggregate tax-return data from the Internal Revenue Service. The transition rate from pass-through businesses to C-corporations is from Bhandari and McGrattan (2021). Total tax revenue relative to GDP is from the OECD Data Explorer, while tax revenue shares by tax type are from Congressional Budget Office (2013). All remaining empirical moments are from the Survey of Consumer Finances.

Figure 4: The Impact of a Flat Wealth Tax on Tax Revenue



(a) Total tax revenue



(b) Components of total tax revenue

Notes: Total tax revenue in panel (a) is normalized to 1 at the benchmark $\tau_a = 0$. The sub-components in panel (b) are shown as shares of total tax revenue.

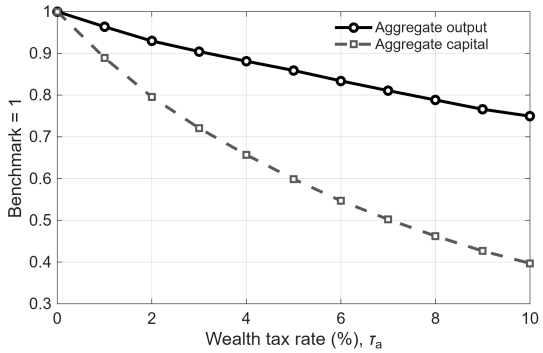
entrepreneurs in the top 10% of both the income and wealth distributions. Reproducing these untargeted moments is particularly important because our policy analysis also considers a progressive wealth tax that applies only to the top decile of the wealth distribution. Moreover, the model closely replicates the distributions of income and wealth across the reported percentile groups.

4 Policy Reforms

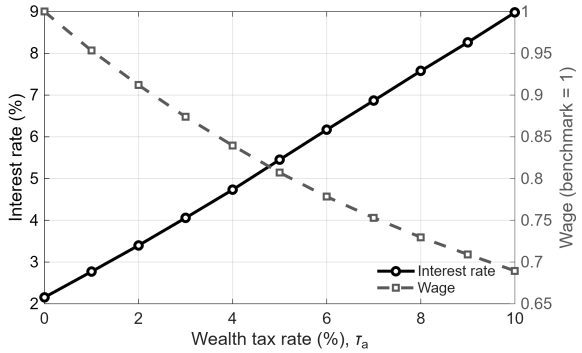
4.1 Tax Revenue of a Flat Wealth Tax

To begin, we consider the introduction of a flat wealth tax, τ_a levied on all wealth without exemption, $\bar{a} = 0$, on top of the existing tax system and examine its implications for tax revenue, aggregate outcomes, and the distribution of income and wealth.

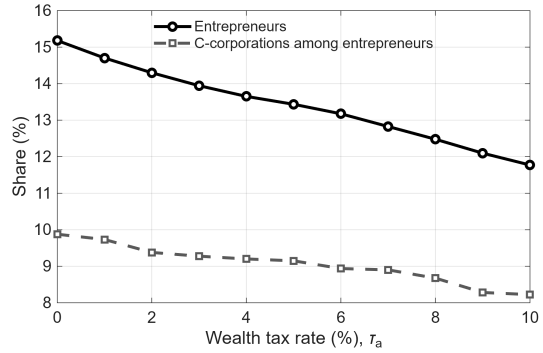
Figure 5: The Effects of a Flat Wealth Tax without Revenue-Neutrality



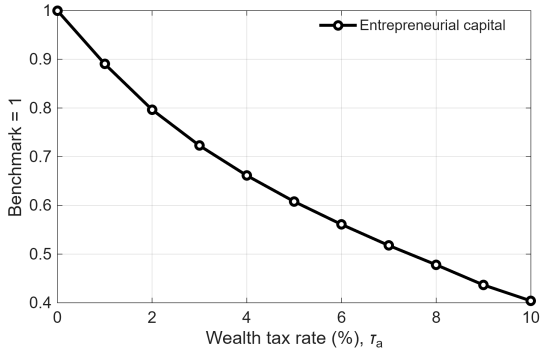
(a) Aggregate output and capital



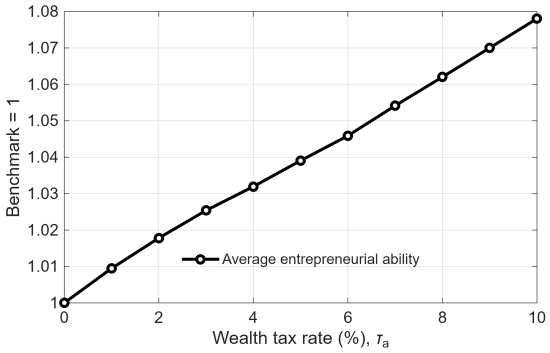
(b) Interest rate and wage



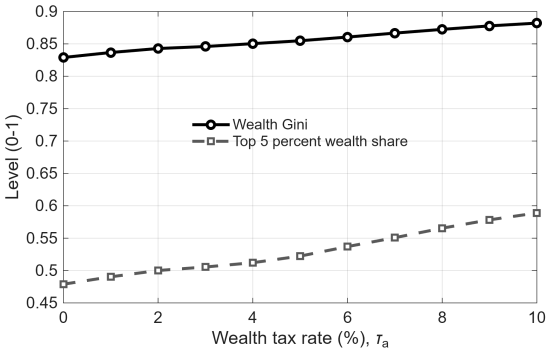
(c) Entrepreneur and C-corporation shares



(d) Entrepreneurial capital



(e) Average entrepreneurial ability



(f) Wealth inequality

Notes: The figure considers the effects of a flat wealth tax if imposed on top of the existing tax system without revenue-neutrality. Aggregate output and capital in panel (a), the wage in panel (b), entrepreneurial capital in panel (d), and average entrepreneurial ability in panel (e) are normalized to 1 at the benchmark $\tau_a = 0$.

Figure 4a reports total tax revenue for flat wealth tax rates of up to 10%. Total revenue increases at a diminishing rate and broadly levels off at high wealth tax rates as the tax base contracts. Decomposing total revenue into its components in Figure 4b reveals that higher wealth tax rates reduce the contributions of income and corporate taxes to total revenue, while the share accounted for by the wealth tax increases. Quantitatively, the wealth tax generates substantial revenue: near the peak of the revenue curve, total tax revenue is approximately 30% higher than in the benchmark economy.

To understand the underlying mechanisms, Figures 5a and 5b report the responses of aggregate outcomes and factor prices. A higher wealth tax discourages saving and reduces aggregate capital accumulation, leading to a decline in aggregate output. In general equilibrium, the smaller capital stock raises the marginal product of capital and, consequently, the equilibrium interest rate. At the same time, the decline in the capital stock lowers the marginal product of labor, reducing equilibrium wages. The resulting decline in labor income translates into lower income tax revenues.

Figures 5d and 5e illustrate the effects of the wealth tax on the entrepreneurial sector. By reducing wealth holdings, the tax tightens entrepreneurial collateral constraints and discourages entrepreneurship in the economy. Among those who continue to operate businesses, average entrepreneurial ability increases, reflecting endogenous selection into entrepreneurship. At the same time, higher borrowing costs outweigh the benefits of external financing, reducing the incentive to organize as C-corporations. Consequently, the share of C-corporations among entrepreneurs declines (Figure 5c), tightening financial constraints and reducing entrepreneurial investment. These endogenous adjustments in occupational and legal-form choice amplify the distortions generated by the wealth tax. The contraction of output, together with the lower prevalence of C-corporations, contributes to the decline in corporate tax revenues.

The wealth tax not only reduces aggregate wealth accumulation but also increases wealth concentration at the top of the distribution (Figure 5f). This finding is consistent with Guvenen et al. (2023), who show that a wealth tax increases the dispersion of after-tax returns. In addition, our model features a second mechanism that amplifies wealth inequality. By inducing entrepreneurs to switch to pass-through businesses, the wealth tax tightens collateral constraints, thereby increasing the wealth required to finance investment. This mechanism builds on the insight of Cagetti and De Nardi (2006) that borrowing constraints induce entrepreneurs to accumulate wealth to finance investment, thus increasing wealth concentration at the top.

Column (1) of Table 7 summarizes the effects of introducing a 0.5% flat wealth tax on top of the existing tax system without revenue-neutrality. A 0.5% wealth tax reduces aggregate output by 1.9%, increases the interest rate by 0.3 p.p., and lowers wages by 2.4%. Both income and wealth

Table 6: Policy Reforms

	Benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
			Flat wealth tax		
Wealth tax τ_a	0.000	0.005	0.005	0.005	0.005
Corporate tax τ_c	0.350	0.350	0.181	0.350	0.350
Income tax level τ_{l0}	0.818	0.818	0.818	0.837	0.836
Income tax wedge $\tilde{\tau}_0$	0.160	0.160	0.160	0.133	0.160
$\tau_{d0} = \tau_{l0}(1 + \tilde{\tau}_0)$	0.949	0.949	0.949	0.949	0.970
Income tax progressivity τ_1	0.080	0.080	0.080	0.080	0.080
			Progressive wealth tax		
Wealth tax τ_a	0.000	0.020	0.020	0.020	0.020
Share above exemption (benchmark dist., %)	–	10.084	10.084	10.084	10.084
Corporate tax τ_c	0.350	0.350	0.199	0.350	0.350
Income tax level τ_{l0}	0.818	0.818	0.818	0.828	0.828
Income tax wedge $\tilde{\tau}_0$	0.160	0.160	0.160	0.145	0.160
$\tau_{d0} = \tau_{l0}(1 + \tilde{\tau}_0)$	0.949	0.949	0.949	0.949	0.960
Income tax progressivity τ_1	0.080	0.080	0.080	0.080	0.080

Notes: The table summarizes the set of policy reforms, keeping all other parameters at their benchmark values. 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Note that raising τ_{l0} or τ_{d0} reduces tax liabilities. For the progressive wealth tax, the exemption threshold $\bar{a}$ is fixed across reforms, and the reported share above the exemption is calculated from the benchmark wealth distribution.

become slightly more concentrated at the top of the distributions.

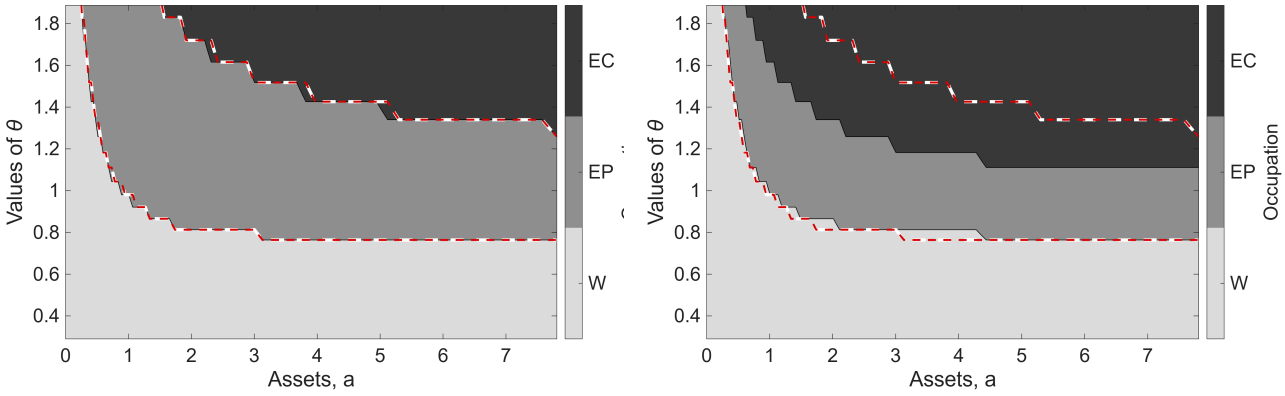
4.2 Flat Wealth Tax: Revenue-Neutral Reforms

We next examine revenue-neutral policy reforms in which the revenue generated by a flat wealth tax is used to reduce existing taxes.[6] Countries with relatively low exemption thresholds, such as Switzerland and Luxembourg, have generally applied comparatively low wealth tax rates. Motivated by these examples, we adopt as our benchmark a 0.5% flat wealth tax levied on all wealth, $\bar{a} = 0$.

We consider three policy reforms. First, wealth tax revenue finances a reduction in the corporate

[6]In all revenue-neutral experiments, wasteful government spending is held fixed in levels at its benchmark value, $G = G^{bench}$. The tax instrument(s) specified for each reform are chosen so that the reform equilibrium satisfies $R^T + R^c + R^w + R^S = G^{bench} + B$.

Figure 6: Policy Reforms - Occupational and Legal-Form Choice



(a) No Revenue-Neutrality (No RN)

(b) Revenue-Neutrality (RN) - τ_c

(c) Revenue-Neutrality (RN) - τ_{l0}

(d) Revenue-Neutrality (RN) - τ_{l0} and τ_{d0}

Notes: The figure displays the occupational and legal-form choice W, EP, EC given assets a and entrepreneurial ability θ considering the policy reforms summarized in Table 6. Labor productivity ε is set at its median value. The dashed lines show the decision boundaries of the benchmark economy without a wealth tax.

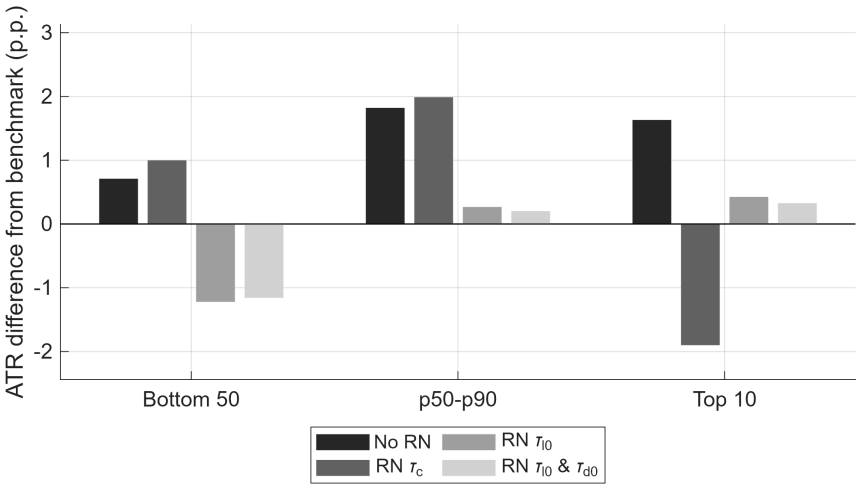
tax rate while ordinary and qualified income tax parameters remain unchanged. Second, it finances a reduction in the ordinary income tax level while the qualified income and corporate tax parameters remain fixed. Third, it finances proportional reductions in ordinary and qualified income tax levels, leaving the corporate tax unchanged. Table 6 summarizes the resulting tax parameters, while Figure 6 illustrates households' occupational and legal-form choices as functions of wealth, a, and entrepreneurial ability, θ. The dashed lines indicate the decision boundaries in the benchmark economy without a wealth tax.

We begin by considering a revenue-neutral reduction in the corporate tax rate. As shown in column (2) of Table 6, revenue-neutrality requires reducing the corporate tax rate from 35% to 18.1%. This reform increases the attractiveness of C-corporations relative to pass-through businesses for any given combination of wealth a and entrepreneurial ability θ (Figure 6b). Consequently, conditional on entrepreneurship, households are more likely to choose the corporate form despite its operating costs as they benefit from both the lower corporate tax burden and the weaker collateral constraints associated with C-corporations.

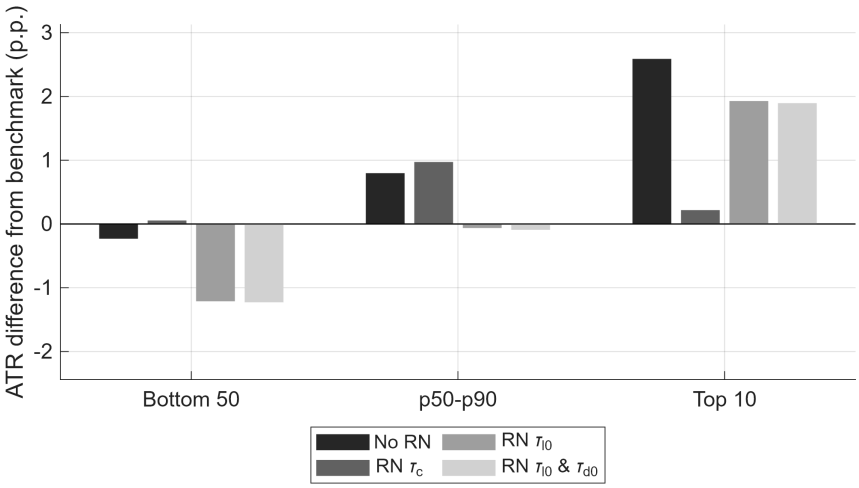
Table 7 reports the aggregate and distributional effects of a 0.5% wealth tax under revenue-neutrality. When the additional revenue is used to lower the corporate tax rate (column (2)), aggregate capital and output increase substantially. This finding is consistent with the "use-it-or-lose-it" effect emphasized by Guvenen et al. (2023). Because unproductive but wealthy entrepreneurs bear a relatively larger share of the wealth tax burden while productive entrepreneurs benefit more from the reduction in the corporate tax rate, the tax burden is reallocated toward less productive entrepreneurs, improving capital allocation and generating efficiency gains within the entrepreneurial sector. Importantly, endogenous legal-form choice amplifies these gains. The lower corporate tax rate increases the attractiveness of incorporation, inducing more entrepreneurs to organize as C-corporations and benefit from their weaker collateral constraints. The resulting shift toward the corporate form improves capital allocation and reinforces the efficiency gains from the reform. Quantitatively, a 0.5% wealth tax increases the share of C-corporations among entrepreneurs by 16.39 p.p. and raises aggregate output by 4.7%. For comparison, whereas we analyze a reduction in the corporate tax rate from 35% to 18.1% combined with a wealth tax, Chen et al. (2018) consider a reduction from 28% to 20%. In their structural model, aggregate output increases by 1.3% as entrepreneurs reallocate from pass-through businesses to C-corporations.

The equilibrium interest rate reflects two opposing forces. Greater capital accumulation lowers the marginal product of capital and therefore has a negative effect on the interest rate. At the same time, the lower corporate tax rate increases the after-tax return to capital, which is equal to the interest rate. The latter effect dominates, raising the equilibrium interest rate by 0.3

Figure 7: Policy Reforms - Average Tax Rates



(a) Flat wealth tax



(b) Progressive wealth tax

Notes: The figure shows the impact of a wealth tax on average tax rates across policy reforms. The bars display the change in average tax rates in p.p. relative to the benchmark economy without a wealth tax. Average tax rates are computed within each pre-tax income percentile group as the sum of personal income tax, social security tax, entrepreneurial corporate tax and wealth tax, divided by pre-tax income. 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Policy parameters are summarized in Table 6.

Table 7: Policy Reforms - Flat Wealth Tax

Changes relative to benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
Prices				
Interest rate r (p.p.)	0.305	0.301	0.230	0.185
Wage w (%)	-2.395	1.724	-1.822	-1.472
Aggregates				
Output Y (%)	-1.923	4.710	-1.973	-1.149
Capital K (%)	-5.853	7.851	-5.235	-3.683
Labor N (%)	0.576	0.816	0.279	0.237
Entrepreneurs				
Share of entrepreneurs (p.p.)	-0.238	-1.467	-0.260	-0.261
C-corp. share of entrepreneurs (p.p.)	-0.087	16.393	-2.069	0.052
Average entrepreneurial capital (%)	-4.277	29.291	-5.159	-1.471
Average entrepreneurial ability (%)	0.445	1.164	0.557	0.461
Inequality				
Income Gini (p.p.)	0.121	0.734	-0.017	0.125
Wealth Gini (p.p.)	0.414	2.144	0.406	0.503
Top 1% income share (p.p.)	0.070	1.247	0.028	0.180
Top 1% wealth share (p.p.)	0.160	4.551	-0.067	0.354
Top 10% income share (p.p.)	0.135	0.863	-0.033	0.134
Top 10% wealth share (p.p.)	0.766	4.272	0.737	0.927
Welfare (CEV)				
Aggregate (%)	-2.140	0.992	0.340	0.517
Retirees (%)	-2.162	1.193	0.429	0.609
Worker (%)	-2.204	1.135	0.399	0.579
Pass-through (%)	-1.570	-0.940	-0.211	-0.116
C-corp. (%)	-2.000	6.204	-1.904	-0.954
Aggregate welfare decomposition (CEV)				
Level (%)	-3.689	2.613	-1.640	-1.002
Distributional (%)	1.608	-1.580	2.013	1.535

Notes: 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Policy parameters are summarized in Table 6. Welfare is measured in percentage consumption-equivalent variations relative to the benchmark economy. To derive the welfare effects by group, we consider the occupation/legal form of the stationary distribution in the benchmark economy. Details of the welfare calculations are provided in Appendix A.1.

p.p. Higher capital accumulation also increases the marginal product of labor, leading wages to increase by 1.7%.

Figure 7(a) reports the impact of a flat 0.5% wealth tax on the average tax rates by pre-tax income group across the different policy reforms. The bars show the change in p.p. relative to the benchmark economy without a wealth tax. Introducing a flat wealth tax on top of the existing tax system without revenue-neutrality increases average tax rates across all income groups. However, when the additional revenue is used to finance a reduction in the corporate tax rate, the average tax burden declines for the top income decile while increasing for all other groups. Under this reform, the largest increase in the tax burden is borne by households in the fifth through ninth income deciles. Consistent with this shift in the tax burden, both income and wealth become more concentrated at the top of the distribution (column (2) of Table 7).

The reform generates a positive aggregate welfare gain, measured as the percentage consumption-equivalent variation (CEV) relative to the benchmark economy.[7] To better understand the sources of this welfare gain, we decompose the aggregate welfare effect into a level component and a distributional component, following Domeij and Heathcote (2004). The level component measures the proportional change in consumption that makes households indifferent between the benchmark and reform economies while holding each household's shares of aggregate consumption and labor supply fixed at their benchmark values. The distributional component captures the remaining welfare effect arising from changes in the distribution of consumption and labor across households. As reported in column (2) of Table 7, the aggregate welfare gain is entirely driven by the level component, reflecting the increase in efficiency. The distributional component is negative and therefore dampens the aggregate welfare gain.

We also examine welfare effects across population groups. Entrepreneurs operating C-corporations benefit the most because they gain directly from the lower corporate tax rate, resulting in greater savings and relaxation of financial constraints. Workers also experience welfare gains through higher equilibrium wages. In contrast, entrepreneurs operating pass-through businesses incur welfare losses because they bear the wealth tax without benefiting directly from the corporate tax reduction.

Next, revenue-neutrality is achieved by reducing the ordinary income tax level while all other tax parameters remain at their benchmark values. Specifically, we adjust τ_{l0} while keeping τ_{d0} fixed. Column (3) of Table 6 reports the resulting tax parameters.

Using the wealth tax revenue to reduce the ordinary income tax level increases the relative tax advantage of pass-through businesses over C-corporations. Consequently, conditional on becoming entrepreneurs, households are somewhat more likely to operate as pass-through businesses for

[7] Details of the welfare calculations are provided in Appendix A.1.

a given level of wealth a and entrepreneurial ability θ, despite the tighter collateral constraints associated with this legal form (Figure 6c).

Column (3) of Table 7 reports the aggregate effects of this reform. In general equilibrium, the share of entrepreneurs operating C-corporations declines by 2.06 p.p. This shift in organizational form amplifies the efficiency costs of the wealth tax, with the decline in aggregate output increasing from 1.92% without revenue neutrality to 1.97%. As more entrepreneurs operate as pass-through businesses and face tighter financing constraints, capital misallocation in the entrepreneurial sector intensifies, leading to larger declines in entrepreneurial capital and output than in the policy reform without revenue-neutrality.

The decline in aggregate capital lowers the marginal product of labor, decreasing the gross wage. However, as Figure 7(a) highlights, households in income groups below the fifth decile of the distribution experience reductions in their tax burden. Thus, workers in particular benefit from the reduction in the ordinary income tax, which offsets part of the decline in pre-tax labor income. As shown in column (3) of Table 7, workers continue to experience welfare gains, although these are considerably smaller than under the revenue-neutral reduction in the corporate tax rate. Entrepreneurs, particularly those operating C-corporations, incur welfare losses because they hold substantial wealth and are therefore disproportionately affected by the wealth tax. The aggregate welfare gain is driven by a positive distributional effect but is substantially reduced by a negative level effect.

Finally, revenue-neutrality is achieved through proportional reductions in the ordinary and qualified income tax levels. Specifically, both τ_{l0} and τ_{d0} are adjusted such that the wedge $\tilde{\tau}_0$ is unchanged. Column (4) of Table 6 reports the resulting tax parameters.

Because both income tax levels are reduced proportionally, the relative tax treatment of pass-through businesses and C-corporations is preserved. Consequently, organizational choices remain largely unchanged (Figure 6d).[8] The "use-it-or-lose-it" effect emphasized by Guvenen et al. (2023) remains operative, but, unlike in the corporate tax experiment, it is not reinforced by endogenous changes in organizational form.

As before, the wealth tax discourages saving and reduces aggregate capital accumulation. However, the proportional reduction in income taxes dampens the tax burden (Figure 7a) and partially offsets this distortion by increasing disposable income and mitigating the decline in savings. As a result, aggregate output falls by 1.1%, which is less than in the benchmark wealth tax experiment without revenue-neutrality or the revenue-neutral reform with a reduction in the ordinary income tax only.

Although the lower capital stock reduces gross wages, households benefit from lower income

[8]Nevertheless, equilibrium prices and the distribution of household states adjust, leading to small changes in occupational and legal-form choices.

taxes. Because workers and retirees hold relatively little wealth, they bear only a small fraction of the wealth tax burden while benefiting directly from lower income taxation. Consequently, the reform generates positive aggregate welfare gains (column (4) of Table 7), driven primarily by workers and retirees. Entrepreneurs continue to experience welfare losses owing to their large wealth holdings. However, these losses are smaller than under the reform that lowers only the ordinary income tax level because entrepreneurs also benefit from the reduction in the tax on qualified dividend income. The aggregate welfare gain reflects a positive distributional effect that is partially offset by a negative level effect.

4.3 Progressive Wealth Tax

The previous section suggests that a flat wealth tax is ineffective at reducing wealth inequality. This finding is important because proponents of wealth taxation often justify such policies on distributional grounds. Historically, wealth taxes were common in Europe, but most systems incorporated exemption thresholds and were therefore progressive. Scheuer and Slemrod (2021) provide an overview of these systems and report that the average top marginal wealth tax rate was about 1%, although some countries, including Finland and Sweden, at times imposed rates close to 4%. Exemption thresholds averaged roughly $500,000 for married couples. In the U.S., during the 2019-20 Democratic presidential primary, Bernie Sanders and Elizabeth Warren revived the U.S. debate by proposing highly progressive wealth taxes. More recently, Zucman (2024) proposes an internationally coordinated minimum tax requiring billionaires to pay at least 2% of their wealth annually.

Against this background, we consider a progressive wealth tax with a 2% marginal rate and an exemption threshold chosen to raise the same wealth tax revenue as the benchmark 0.5% flat wealth tax.[9] Under this calibration, the exemption threshold is fixed across reforms and leaves approximately 10% of households in the benchmark wealth distribution above the threshold.

Column (1) of Table 8 reports the aggregate and distributional effects of a progressive wealth tax imposed on top of the existing tax system without revenue-neutrality. Compared with the 0.5% flat wealth tax, the distortions to aggregate capital accumulation are substantially larger, causing the decline in aggregate output to increase from 1.9% to 4.2%. The stronger contraction reflects the fact that the tax is concentrated on households supplying a large share of aggregate saving and entrepreneurial net worth. Compared with a flat wealth tax, the progressive wealth tax

[9]More precisely, let R^w_{flat} denote the equilibrium aggregate wealth tax revenue under the 0.5% flat wealth tax, and let $R^w_{\text{prog}}(\bar{a})$ denote the equilibrium aggregate wealth tax revenue under the progressive tax given threshold $\bar{a}$. We choose $\bar{a}$ to satisfy $R^w_{\text{prog}}(\bar{a}) = R^w_{\text{flat}}$. Both equilibria are computed without revenue recycling, with all other tax parameters held at their benchmark values and the interest rate adjusting to clear the capital market.

Table 8: Policy Reforms - Progressive Wealth Tax

Changes relative to benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
Prices				
Interest rate r (p.p.)	0.307	0.375	0.280	0.257
Wage w (%)	-2.407	0.843	-2.201	-2.027
Aggregates				
Output Y (%)	-4.256	1.519	-4.280	-3.865
Capital K (%)	-10.621	-0.039	-10.377	-9.641
Labor N (%)	-1.976	-1.834	-2.035	-2.096
Entrepreneurs				
Share of entrepreneurs (p.p.)	1.186	0.117	1.182	1.208
C-corp. share of entrepreneurs (p.p.)	-0.638	13.956	-1.876	-0.613
Average entrepreneurial capital (%)	-17.259	8.285	-17.928	-16.263
Average entrepreneurial ability (%)	0.385	1.094	0.440	0.384
Inequality				
Income Gini (p.p.)	-0.766	-0.044	-0.813	-0.749
Wealth Gini (p.p.)	-3.769	-2.197	-3.700	-3.736
Top 1% income share (p.p.)	-0.489	0.633	-0.505	-0.454
Top 1% wealth share (p.p.)	-3.645	0.080	-3.709	-3.573
Top 10% income share (p.p.)	-0.985	-0.119	-1.037	-0.964
Top 10% wealth share (p.p.)	-7.110	-4.155	-6.972	-7.057
Welfare (CEV)				
Aggregate (%)	-1.673	0.874	-0.398	-0.309
Retirees (%)	-1.791	0.917	-0.470	-0.382
Worker (%)	-1.792	0.903	-0.460	-0.372
Pass-through (%)	-0.076	0.579	0.689	0.756
C-corp. (%)	-6.742	0.195	-6.588	-6.070
Aggregate welfare decomposition (CEV)				
Level (%)	-3.637	1.595	-2.564	-2.225
Distributional (%)	2.038	-0.710	2.223	1.959

Notes: 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Policy parameters are summarized in Table 6. Welfare is measured in percentage consumption-equivalent variations relative to the benchmark economy. To derive the welfare effects by group, we consider the occupation/legal form of the stationary distribution in the benchmark economy. Details of the welfare calculations are provided in Appendix A.1.

reduces wealth accumulation at the top of the distribution, weakening incentives to incorporate as a C-corporation and strongly reducing entrepreneurial investment.

Unlike the flat wealth tax, the progressive wealth tax reduces wealth inequality. These distributional gains, however, come at the expense of substantially lower aggregate output, illustrating a much sharper equity-efficiency tradeoff.

To facilitate comparison with the flat wealth tax, we consider the same set of revenue-neutral reforms as in the previous section. Specifically, the wealth tax revenue is used to reduce either the corporate tax rate, the ordinary income tax level, or both the ordinary and qualified income tax levels proportionally. The resulting tax parameters are reported in Table 6.

Reducing the corporate tax rate again increases the attractiveness of the corporate form and encourages entrepreneurship through C-corporations. However, the response is considerably weaker than under the flat wealth tax because the progressive wealth tax depresses wealth accumulation at the top of the distribution. Lower entrepreneurial wealth reduces the scale at which entrepreneurs can exploit the C-corporation's looser collateral constraint, making its fixed operating cost worthwhile for fewer households (column (2) of Table 8). Consequently, entrepreneurial capital expands much less, and aggregate output increases by only 1.5%, compared with 4.7% under the corresponding flat-tax reform.

Although wealthy households bear most of the progressive wealth tax, they also benefit disproportionately from the corporate tax cut. As a result, their overall tax burden increases only modestly (Figure 7b), and the reduction in wealth inequality is much smaller than under the corresponding reform without revenue-neutrality (column (2) of Table 8).

The reform generates positive aggregate welfare gains, although these are smaller than under the corresponding flat wealth tax reform. Considering the specific population groups, welfare gains are smaller for workers and retirees and substantially smaller for owners of C-corporations. In contrast, entrepreneurs operating pass-through businesses, who incurred welfare losses under the flat wealth tax, now experience welfare gains because most fall below the exemption threshold.

Using the revenue generated by a progressive wealth tax to reduce ordinary income taxes produces aggregate effects that are qualitatively similar to those under a flat wealth tax, but entails substantially larger efficiency losses (columns (3) and (4) of Table 8). The distributional and welfare implications, however, differ markedly. Although the progressive wealth tax reduces both income and wealth inequality, it lowers aggregate welfare, whereas the flat wealth tax increases it. The larger distortions to capital accumulation under the progressive wealth tax reduce equilibrium wages substantially, lowering the welfare of workers and retirees despite the accompanying reductions in income taxes. Entrepreneurs operating C-corporations also incur significant welfare losses because they hold substantial wealth and are therefore subject to the

Table 9: Counterfactual Analysis - Flat Wealth Tax Reforms

	Benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
	Equal tax treatment				
Wealth tax τ_a	0.000	0.005	0.005	0.005	0.005
Corporate tax τ_c	0.350	0.350	0.114	0.350	0.350
Income tax level τ_{l0}	0.809	0.809	0.809	0.831	0.828
Income tax wedge $\tilde{\tau}_0$	0.160	0.160	0.160	0.130	0.160
$\tau_{d0} = \tau_{l0}(1 + \tilde{\tau}_0)$	0.938	0.938	0.938	0.938	0.961
Income tax progressivity τ_1	0.080	0.080	0.080	0.080	0.080
	Equal tax treatment and equal collateral constraints				
Wealth tax τ_a	0.000	0.005	0.005	0.005	0.005
Corporate tax τ_c	0.350	0.350	0.092	0.350	0.350
Income tax level τ_{l0}	0.809	0.809	0.809	0.830	0.827
Income tax wedge $\tilde{\tau}_0$	0.160	0.160	0.160	0.132	0.160
$\tau_{d0} = \tau_{l0}(1 + \tilde{\tau}_0)$	0.939	0.939	0.939	0.939	0.960
Income tax progressivity τ_1	0.080	0.080	0.080	0.080	0.080

Notes: This table summarizes the set of policy reforms for the two counterfactual economies: the first with equal tax treatment, and the second with both equal tax treatment and equal collateral constraints across legal forms. 'No RN' considers a flat wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Note that raising τ_{l0} or τ_{d0} reduces tax liabilities.

wealth tax. By contrast, owners of pass-through businesses experience welfare gains, as most hold wealth below the exemption threshold while benefiting directly from lower personal income taxes.

Overall, introducing progressivity substantially enhances the redistributive effects of the wealth tax but also raises its efficiency costs. By concentrating the tax burden on wealthy households, the progressive wealth tax reduces aggregate savings, weakens incentives to organize as a C-corporation, and limits entrepreneurial investment. As a result, the equity-efficiency tradeoff becomes considerably more pronounced than under a flat wealth tax. Consequently, even when the additional revenue is used to reduce other distortionary taxes, a progressive wealth tax may generate aggregate welfare losses.

4.4 The Importance of Endogenous Legal Form Choice and Financial Constraints

Our findings highlight the importance of both the differential tax treatment of legal forms and their differential access to external finance in shaping the effects of wealth taxation. To examine the contribution of each mechanism, we analyze two recalibrated counterfactual economies. In the first, we eliminate the differential tax treatment of pass-through businesses and C-corporations while preserving differential access to external finance. In the second, we additionally eliminate differences in collateral constraints across legal forms. Throughout this section, we focus on the flat wealth tax; the corresponding results for the progressive wealth tax are reported in Appendix A.2.

In the first counterfactual economy, we assume that all entrepreneurial income is taxed under the pass-through tax schedule, while the corporate legal form continues to exist.[10] Entrepreneurs who choose to operate as C-corporations incur the fixed operating cost but still benefit from weaker collateral constraints. To ensure comparability with the benchmark economy, we recalibrate the operating cost, setting $\kappa = 0.456$ to match the benchmark share of C-corporations.

In the second counterfactual economy, we additionally eliminate differences in access to external finance across legal forms. Specifically, we impose a common collateral constraint and recalibrate the collateral parameter to $\lambda = 1.633$ so that the entrepreneurial wealth share matches the benchmark economy. Table 12 in Appendix A.2 shows recalibrated parameters and model fit for the two counterfactual economies.

In both counterfactual economies, we consider the same policy experiments as in the benchmark: a 0.5% flat wealth tax imposed on top of the existing tax system and the three revenue-neutral reforms. The corresponding policy parameters are summarized in Table 9 and the aggregate and distributional effects are reported in Tables 10 and 11. Since both legal forms receive identical tax treatment, wealth tax reforms no longer generate substantial tax-induced legal-form switching. Any changes in organizational form therefore arise solely through general equilibrium effects.

Consider first the counterfactual economy with identical tax treatment but differential collateral constraints (Table 10). When wealth tax revenue finances a reduction in the corporate tax rate, entrepreneurs no longer benefit directly from the tax cut because all business income is taxed identically. In equilibrium, the wealth tax depresses aggregate saving, contributing to the increase in the interest rate by 0.79 p.p. Higher borrowing costs reduce both entrepreneurial entry and the attractiveness of the corporate form, lowering both the share of entrepreneurs and the fraction of C-corporations. As a result, entrepreneurial activity contracts, aggregate output falls by 2.3%, and equilibrium wages decline by 0.09%. This outcome sharply contrasts with the benchmark

[10] The non-entrepreneurial sector remains subject to corporate taxation.

Table 10: Counterfactual Analysis - Equal Tax Treatment

Changes relative to benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
Prices				
Interest rate r (p.p.)	0.308	0.791	0.179	0.159
Wage w (%)	-2.420	-0.086	-1.430	-1.269
Aggregates				
Output Y (%)	-1.828	-2.355	-0.930	-0.815
Capital K (%)	-5.714	-4.837	-3.264	-2.899
Labor N (%)	0.615	0.345	0.207	0.185
Entrepreneurs				
Share of entrepreneurs (p.p.)	-0.235	-1.021	-0.363	-0.331
C-corp. share of entrepreneurs (p.p.)	-0.052	-0.918	0.185	0.180
Average entrepreneurial capital (%)	-3.961	-10.123	0.526	0.553
Average entrepreneurial ability (%)	0.450	1.681	0.545	0.484
Inequality				
Income Gini (p.p.)	-0.008	-0.990	0.262	0.240
Wealth Gini (p.p.)	0.408	-1.156	0.729	0.656
Top 1% income share (p.p.)	0.109	-0.965	0.378	0.341
Top 1% wealth share (p.p.)	0.293	-1.835	0.810	0.721
Top 10% income share (p.p.)	0.086	-1.175	0.271	0.245
Top 10% wealth share (p.p.)	0.750	-1.974	1.368	1.236
Welfare (CEV)				
Aggregate (%)	-2.163	-0.106	0.850	0.787
Retirees (%)	-2.186	0.019	0.981	0.904
Worker (%)	-2.227	0.023	0.948	0.875
Pass-through (%)	-1.579	-1.273	-0.140	-0.102
C-corp. (%)	-2.081	-3.277	-1.311	-1.190
Aggregate welfare decomposition (CEV)				
Level (%)	-3.905	-2.325	-0.777	-0.671
Distributional (%)	1.813	2.271	1.640	1.468

Notes: This table summarizes aggregate, distributional, and welfare effects of a 0.5% flat wealth tax for a counterfactual economy in which legal forms are subject to the same tax treatment. 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Policy parameters are summarized in Table 9. Welfare is measured in percentage consumption-equivalent variations relative to the counterfactual economy without a wealth tax. To derive the welfare effects by group, we consider the occupation/legal form of the stationary distribution in the counterfactual economy without a wealth tax. Details of the welfare calculations are provided in Appendix A.1.

Table 11: Counterfactual Analysis - Equal Tax Treatment and Equal Collateral Constraints

Changes relative to benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
Prices				
Interest rate r (p.p.)	0.299	0.795	0.197	0.180
Wage w (%)	-2.351	0.341	-1.570	-1.435
Aggregates				
Output Y (%)	-1.804	-1.535	-1.293	-1.187
Capital K (%)	-5.685	-3.193	-4.063	-3.726
Labor N (%)	0.664	0.368	0.199	0.163
Entrepreneurs				
Share of entrepreneurs (p.p.)	-0.267	-1.229	-0.338	-0.294
C-corp. share of entrepreneurs (p.p.)	0.000	0.000	0.000	0.000
Average entrepreneurial capital (%)	-4.057	-7.018	-1.459	-1.386
Average entrepreneurial ability (%)	0.440	1.710	0.543	0.479
Inequality				
Income Gini (p.p.)	-0.031	-0.853	0.145	0.130
Wealth Gini (p.p.)	0.431	-1.034	0.543	0.481
Top 1% income share (p.p.)	0.050	-0.609	0.123	0.111
Top 1% wealth share (p.p.)	0.124	-1.543	0.247	0.221
Top 10% income share (p.p.)	0.060	-1.023	0.143	0.125
Top 10% wealth share (p.p.)	0.754	-1.721	0.917	0.816
Welfare (CEV)				
Aggregate (%)	-2.112	0.155	0.578	0.514
Retirees (%)	-2.131	0.345	0.691	0.612
Worker (%)	-2.175	0.345	0.656	0.581
Pass-through (%)	-1.624	-1.586	-0.217	-0.173
C-corp. (%)	–	–	–	–
Aggregate welfare decomposition (CEV)				
Level (%)	-3.881	-1.804	-1.075	-0.973
Distributional (%)	1.840	1.995	1.671	1.501

Notes: This table summarizes aggregate, distributional, and welfare effects of a 0.5% flat wealth tax for a counterfactual economy in which legal forms are subject to the same tax treatment and to the same collateral constraints. 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Policy parameters are summarized in Table 9. Welfare is measured in percentage consumption-equivalent variations relative to the counterfactual economy without a wealth tax. To derive the welfare effects by group, we consider the occupation/legal form of the stationary distribution in the counterfactual economy without a wealth tax. Details of the welfare calculations are provided in Appendix A.1.

economy, where the reduction in the corporate tax rate induces entrepreneurs to switch toward C-corporations, thereby benefiting from weaker collateral constraints and expanding entrepreneurial investment.

The second counterfactual, which additionally eliminates differences in collateral constraints across legal forms, yields qualitatively similar results although the decline in aggregate output is smaller because entrepreneurs face a common, less restrictive collateral constraint (Table 11).

Eliminating tax-induced legal-form switching reduces both income and wealth inequality when wealth tax revenue finances a corporate tax cut. However, the positive aggregate welfare gains observed in the benchmark disappear and become negative in the first counterfactual. Without preferential taxation of C-corporations, entrepreneurs no longer benefit directly from the corporate tax reduction but continue to bear the burden of the wealth tax and the higher equilibrium interest rate. The resulting efficiency losses also depress wages, reducing workers' welfare gains. Taken together, the counterfactuals demonstrate that the positive aggregate effects of reducing the corporate tax rate depend critically on the interaction between preferential tax treatment, endogenous legal-form choice, and differential access to external finance.

When revenue-neutrality is achieved through reductions in personal income taxes rather than the corporate tax, the counterfactual economies tend to exhibit similar or somewhat smaller distortions, with correspondingly comparable or somewhat larger aggregate welfare gains. In particular, equal tax treatment eliminates the tax-induced shift toward pass-through businesses, preventing the deterioration in capital allocation associated with their tighter collateral constraints. This finding reinforces the central role of endogenous legal-form choice in shaping the efficiency costs of wealth taxation.

5 Conclusions

This paper analyzes the effects of wealth taxation on aggregate outcomes, inequality, and welfare in an economy with heterogeneous agents, incomplete markets, and endogenous occupational and legal-form choice.

In the model, entrepreneurs choose whether to operate a pass-through business or a C-corporation, which differ in both their tax treatment and their access to external finance. While C-corporations incur higher operating costs, they benefit from weaker collateral constraints and therefore enjoy better access to external finance. Consequently, legal-form choice jointly determines entrepreneurs' after-tax return to investment and financing conditions.

Our main contribution is to show that the effects of wealth taxation depend critically on the endogenous reallocation of entrepreneurs across legal forms. Although a flat wealth tax raises substantial revenue when imposed on top of the existing U.S. tax system, it discourages C-

corporation formation and shifts entrepreneurial activity toward pass-through businesses. Because pass-through firms face tighter collateral constraints, this reallocation exacerbates capital misallocation within the entrepreneurial sector and amplifies the efficiency costs of wealth taxation.

Our quantitative analysis yields three main findings. First, the effects of wealth taxation depend crucially on how the additional revenue is recycled. Recycling wealth tax revenue through lower corporate taxes encourages entrepreneurs to organize as C-corporations, weakens collateral constraints, improves capital allocation, and generates the largest aggregate welfare gains. By contrast, recycling the revenue through lower ordinary income taxes strengthens the relative tax advantage of pass-through businesses, tightens financial constraints, and yields smaller welfare gains. Second, the design of the wealth tax itself matters. While a progressive wealth tax is more effective at reducing income and wealth inequality than a flat wealth tax, it may generate aggregate welfare losses because it disproportionately taxes wealthy entrepreneurs, thereby reducing entrepreneurial investment, capital accumulation, and aggregate output. Third, our counterfactual analysis demonstrates that these effects are driven primarily by endogenous legal-form choice and its interaction with differential access to external finance.

Overall, our results demonstrate that the efficiency and distributional consequences of wealth taxation depend not only on the tax schedule itself but also on how wealth tax revenues are recycled and how the tax system shapes firms' organizational choices. Accounting for endogenous legal-form choice is therefore essential for evaluating wealth tax reforms and their welfare implications.

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A Appendix

A.1 Welfare

This subsection describes the welfare calculations for the policy reforms in Section 4 and Appendix A.2. Throughout, *bench* ($reform$) denotes the stationary equilibrium of the benchmark (reform) economy. The goal is to compute the aggregate and group-specific welfare effects of the policy reform and decompose the aggregate welfare effect into a level component and a distributional component.

Aggregate and group-specific welfare effects As defined in the equilibrium in Section 2, the household state is $x = (a, \varepsilon, \theta, j) \in \mathcal{X}$. For $m \in \{bench, reform\}$, let $V^m(x)$ denote the expected present value of a household with state x in period $t = 0$, and let c_t^m and ℓ_t^m indicate consumption and labor supply of the household in period t. Since only workers supply labor in our model, $\ell_t^m = 0$ if the household chooses to be an entrepreneur or is in retirement. Given that the utility function is additively separable in consumption and labor supply (see Equation 1), the value $V^{bench}(x)$ can be written as follows

$$V^{bench}(x) = V_c^{bench}(x) - V_\ell^{bench}(x). \tag{26}$$

where

$$\begin{aligned} V_c^{bench}(x) &= \mathbb{E}_0\left[\sum_{t=0}^{\infty} \beta^t \frac{(c_t^{bench})^{1-\sigma_1}}{1-\sigma_1} \mid x_0 = x\right], \\ V_\ell^{bench}(x) &= \mathbb{E}_0\left[\sum_{t=0}^{\infty} \beta^t \chi \frac{(\ell_t^{bench})^{1+\sigma_2}}{1+\sigma_2} \mid x_0 = x\right]. \end{aligned} \tag{27}$$

In the following, we consider the average welfare effect of the reform on any group $\mathcal{G} \subseteq \mathcal{X}$. Let $\mathcal{I}_{\mathcal{G}}^{bench}(x)$ indicate that state x belongs to $\mathcal{G}$ under the benchmark policy functions. If $\mathcal{G} = \mathcal{X}$, we compute the aggregate welfare effect considering all households.

The welfare effect is measured in consumption equivalent variation (CEV). That is, $\omega_{\mathcal{G}}$ is the proportional change in benchmark per-period consumption applied to households in $\mathcal{G}$ that makes the group indifferent between the consumption-adjusted benchmark and the reform:

$$\begin{aligned} &\int_{\mathcal{X}} \mathcal{I}_{\mathcal{G}}^{bench}(x) \mathbb{E}_0\left[\sum_{t=0}^{\infty} \beta^t \frac{((1+\omega_{\mathcal{G}})c_t^{bench})^{1-\sigma_1}}{1-\sigma_1} - \chi \frac{(\ell_t^{bench})^{1+\sigma_2}}{1+\sigma_2} \mid x_0 = x\right] d\mu^{bench}(x) \\ &\quad = \int_{\mathcal{X}} \mathcal{I}_{\mathcal{G}}^{bench}(x) V^{reform}(x)\, d\mu^{bench}(x), \end{aligned} \tag{28}$$

where μ^{bench} is benchmark stationary distribution. Since the utility from consumption is a

homogeneous function, we can simplify Equation 28 as

$$\begin{aligned}\int_{\mathcal{X}} \mathcal{I}_{\mathcal{G}}^{bench}(x)\left[(1+\omega_{\mathcal{G}})^{1-\sigma_1} V_c^{bench}(x) - V_\ell^{bench}(x)\right] d\mu^{bench}(x) \\ = \int_{\mathcal{X}} \mathcal{I}_{\mathcal{G}}^{bench}(x) V^{reform}(x)\, d\mu^{bench}(x).\end{aligned} \tag{29}$$

Solving for $\omega_{\mathcal{G}}$ yields

$$\omega_{\mathcal{G}} = \left[1 + \frac{\int_{\mathcal{X}} \mathcal{I}_{\mathcal{G}}^{bench}(x)\left[V^{reform}(x) - V^{bench}(x)\right] d\mu^{bench}(x)}{\int_{\mathcal{X}} \mathcal{I}_{\mathcal{G}}^{bench}(x) V_c^{bench}(x)\, d\mu^{bench}(x)}\right]^{\frac{1}{1-\sigma_1}} - 1. \tag{30}$$

In the main text, we report aggregate CEV as well as group-specific CEVs for retirees, workers, pass-through entrepreneurs and C-corporation entrepreneurs.

Decomposition We further decompose the aggregate CEV $\omega^{agg} = \omega_{\mathcal{X}}$ into a level component ω^{level} and a distributional component ω^{dist} such that

$$1 + \omega^{agg} = (1 + \omega^{level})(1 + \omega^{dist}). \tag{31}$$

Following Domeij and Heathcote (2004), the level component measures the welfare change associated with changes in aggregate consumption and hours, keeping fixed each household's share of consumption and labor supply the same as the benchmark economy. The distributional component captures the part of the aggregate welfare change that is not accounted for by changing aggregate consumption and hours, including distributional and insurance effects.

Let C^m and L^m be, respectively, aggregate consumption and hours in economy m. $\widehat{c}_t^{reform}$ and $\widehat{\ell}_t^{reform}$ are hypothetical consumption and hours, scaling the benchmark levels using reform-to-benchmark aggregate ratios:

$$\widehat{c}_t^{reform} = \frac{C^{reform}}{C^{bench}} c_t^{bench}, \qquad \widehat{\ell}_t^{reform} = \frac{L^{reform}}{L^{bench}} \ell_t^{bench}.$$

By homogeneity of consumption utility and labor disutility, the value of this hypothetical allocation for a household starting from state x is

$$\widehat{V}^{reform}(x) = \left(\frac{C^{reform}}{C^{bench}}\right)^{1-\sigma_1} V_c^{bench}(x) - \left(\frac{L^{reform}}{L^{bench}}\right)^{1+\sigma_2} V_\ell^{bench}(x). \tag{32}$$

The level CEV is the uniform consumption adjustment that equates aggregate benchmark welfare with the welfare generated by this hypothetical allocation:

$$\omega^{level} = \left[1 + \frac{\int_{\mathcal{X}} \left[\widehat{V}^{reform}(x) - V^{bench}(x)\right] d\mu^{bench}(x)}{\int_{\mathcal{X}} V_c^{bench}(x)\, d\mu^{bench}(x)}\right]^{\frac{1}{1-\sigma_1}} - 1. \tag{33}$$

We can then solve for the distributional component from Equation 31

$$\omega^{dist} = \frac{1 + \omega^{agg}}{1 + \omega^{level}} - 1. \tag{34}$$

A.2 Calibration, Model Fit, and Progressive Wealth Tax Results for the Counterfactual Economies

Table 12: Calibration and Model Fit across Economies

	(1)	(2)	(3)
Panel A: Calibrated parameters			
Operating cost for C-corp., κ	0.273	0.456	–
Collateral constraint (Pass-through), λ^{EP}	1.514	1.514	1.633
Collateral constraint (C-corp.), λ^{EC}	2.189	2.189	–
Interest rate (%)	2.154	2.137	2.146
Income tax, level, τ_{l0}	0.818	0.809	0.809
Panel B: Model fit			
Share of entrepreneurs (%)	15.182	14.947	15.947
C-corp. as share of entre. (%)	9.877	9.876	–
Wealth share held by entrepreneurs (%)	48.645	49.654	48.647

Notes: Column (1) reports the benchmark economy, column (2) the equal-tax-treatment economy, and column (3) the economy with equal tax treatment and equal collateral constraints. Parameters that are not recalibrated retain at their benchmark values. In the recalibrated economies, r adjusts to clear the capital market, while τ_{l0} adjusts to satisfy the government-budget condition associated with the target for government spending relative to GDP.

Table 12 summarizes the calibrated parameters and model fit for the benchmark and the two counterfactual economies. We analyze two counterfactual economies. In the first, we eliminate the differential tax treatment of pass-through businesses and C-corporations while preserving differences in access to credit. In the second counterfactual, we additionally eliminate differences in collateral constraints across legal forms. In this appendix, we report the effects of a progressive wealth tax in these two counterfactual economies. Table 13 summarizes the set of policy parameters. The impact of progressive taxation in the two counterfactual economies on aggregate and distributional outcomes, prices, and welfare is summarized in Tables 14 and 15.

Table 13: Counterfactual Analysis - Progressive Wealth Tax Reforms

	Benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
	Equal tax treatment				
Wealth tax τ_a	0.000	0.020	0.020	0.020	0.020
Share above exemption (scenario benchmark dist., %)	–	9.601	9.601	9.601	9.601
Corporate tax τ_c	0.350	0.350	0.202	0.350	0.350
Income tax level τ_{l0}	0.809	0.809	0.809	0.820	0.819
Income tax wedge $\tilde{\tau}_0$	0.160	0.160	0.160	0.144	0.160
$\tau_{d0} = \tau_{l0}(1 + \tilde{\tau}_0)$	0.938	0.938	0.938	0.938	0.950
Income tax progressivity τ_1	0.080	0.080	0.080	0.080	0.080
	Equal tax treatment and equal collateral constraints				
Wealth tax τ_a	0.000	0.020	0.020	0.020	0.020
Share above exemption (scenario benchmark dist., %)	–	10.806	10.806	10.806	10.806
Corporate tax τ_c	0.350	0.350	0.235	0.350	0.350
Income tax level τ_{l0}	0.809	0.809	0.809	0.820	0.819
Income tax wedge $\tilde{\tau}_0$	0.160	0.160	0.160	0.145	0.160
$\tau_{d0} = \tau_{l0}(1 + \tilde{\tau}_0)$	0.939	0.939	0.939	0.939	0.950
Income tax progressivity τ_1	0.080	0.080	0.080	0.080	0.080

Notes: The table summarizes the set of policy reforms for the two counterfactual economies: the first with equal tax treatment, and the second with both equal tax treatment and equal collateral constraints across legal forms. 'No RN' considers a progressive wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Within each counterfactual-economy panel, the exemption threshold is fixed across reforms, and the reported share above the exemption is calculated from that scenario's benchmark wealth distribution.

Table 14: Counterfactual Analysis - Equal Tax Treatment

Changes relative to benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
Prices				
Interest rate r (p.p.)	0.324	0.606	0.294	0.271
Wage w (%)	-2.545	-0.787	-2.317	-2.143
Aggregates				
Output Y (%)	-4.347	-4.000	-4.139	-4.029
Capital K (%)	-10.923	-9.051	-10.418	-10.073
Labor N (%)	-1.992	-1.772	-2.134	-2.171
Entrepreneurs				
Share of entrepreneurs (p.p.)	1.246	0.607	1.248	1.270
C-corp. share of entrepreneurs (p.p.)	-0.779	-1.174	-0.741	-0.739
Average entrepreneurial capital (%)	-17.893	-19.514	-17.118	-17.008
Average entrepreneurial ability (%)	0.389	1.208	0.449	0.402
Inequality				
Income Gini (p.p.)	-0.922	-1.396	-0.697	-0.721
Wealth Gini (p.p.)	-3.843	-4.758	-3.674	-3.746
Top 1% income share (p.p.)	-0.534	-1.143	-0.460	-0.480
Top 1% wealth share (p.p.)	-3.874	-5.162	-3.686	-3.766
Top 10% income share (p.p.)	-1.087	-1.693	-0.940	-0.966
Top 10% wealth share (p.p.)	-7.394	-8.880	-6.999	-7.169
Welfare (CEV)				
Aggregate (%)	-1.745	-0.250	-0.370	-0.337
Retirees (%)	-1.890	-0.252	-0.473	-0.435
Worker (%)	-1.878	-0.240	-0.449	-0.411
Pass-through (%)	0.063	0.170	0.918	0.910
C-corp.(%)	-6.933	-7.909	-6.254	-6.281
Aggregate welfare decomposition (CEV)				
Level (%)	-3.877	-2.434	-2.342	-2.240
Distributional (%)	2.218	2.239	2.020	1.947

Notes: This table summarizes aggregate, distributional, and welfare effects of a progressive wealth tax for a counterfactual economy in which legal forms are subject to the same tax treatment. 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Policy parameters are summarized in Table 13. Welfare is measured in percentage consumption-equivalent variations relative to the counterfactual economy without a wealth tax. To derive the welfare effects by group, we consider the occupation/legal form of the stationary distribution in the counterfactual economy without a wealth tax. Details of the welfare calculations are provided in Appendix A.1.

Table 15: Counterfactual Analysis - Equal Tax Treatment and Equal Collateral Constraints

Changes relative to benchmark	(1) No RN	(2) RN τ_c	(3) RN τ_{l0}	(4) RN τ_{l0} and τ_{d0}
Prices				
Interest rate r (p.p.)	0.339	0.586	0.305	0.289
Wage w (%)	-2.653	-1.401	-2.392	-2.271
Aggregates				
Output Y (%)	-4.394	-4.371	-4.194	-4.120
Capital K (%)	-10.924	-9.876	-10.395	-10.143
Labor N (%)	-2.000	-2.003	-2.235	-2.250
Entrepreneurs				
Share of entrepreneurs (p.p.)	1.245	0.734	1.231	1.239
C-corp. share of entrepreneurs (p.p.)	0.000	0.000	0.000	0.000
Average entrepreneurial capital (%)	-17.261	-19.152	-16.093	-16.024
Average entrepreneurial ability (%)	0.255	0.959	0.278	0.256
Inequality				
Income Gini (p.p.)	-0.934	-1.333	-0.712	-0.737
Wealth Gini (p.p.)	-4.094	-4.941	-3.855	-3.929
Top 1% income share (p.p.)	-0.609	-0.973	-0.502	-0.524
Top 1% wealth share (p.p.)	-3.977	-4.854	-3.670	-3.745
Top 10% income share (p.p.)	-1.089	-1.625	-0.940	-0.968
Top 10% wealth share (p.p.)	-7.594	-8.844	-7.115	-7.271
Welfare (CEV)				
Aggregate (%)	-1.818	-0.727	-0.477	-0.483
Retirees (%)	-1.959	-0.761	-0.571	-0.578
Worker (%)	-1.959	-0.759	-0.560	-0.567
Pass-through (%)	-0.490	-0.425	0.319	0.325
C-corp. (%)	–	–	–	–
Aggregate welfare decomposition (CEV)				
Level (%)	-3.823	-2.793	-2.361	-2.300
Distributional (%)	2.085	2.125	1.929	1.860

Notes: This table summarizes aggregate, distributional, and welfare effects of a progressive wealth tax for a counterfactual economy in which legal forms are subject to the same tax treatment and to the same collateral constraints. 'No RN' considers a wealth tax on top of the existing tax system without revenue-neutrality. 'RN' refers to revenue-neutral policy reforms, adjusting either the corporate tax, the ordinary income tax level, or both ordinary and qualified income tax levels in the same proportion. Policy parameters are summarized in Table 13. Welfare is measured in percentage consumption-equivalent variations relative to the counterfactual economy without a wealth tax. To derive the welfare effects by group, we consider the occupation/legal form of the stationary distribution in the counterfactual economy without a wealth tax. Details of the welfare calculations are provided in Appendix A.1.